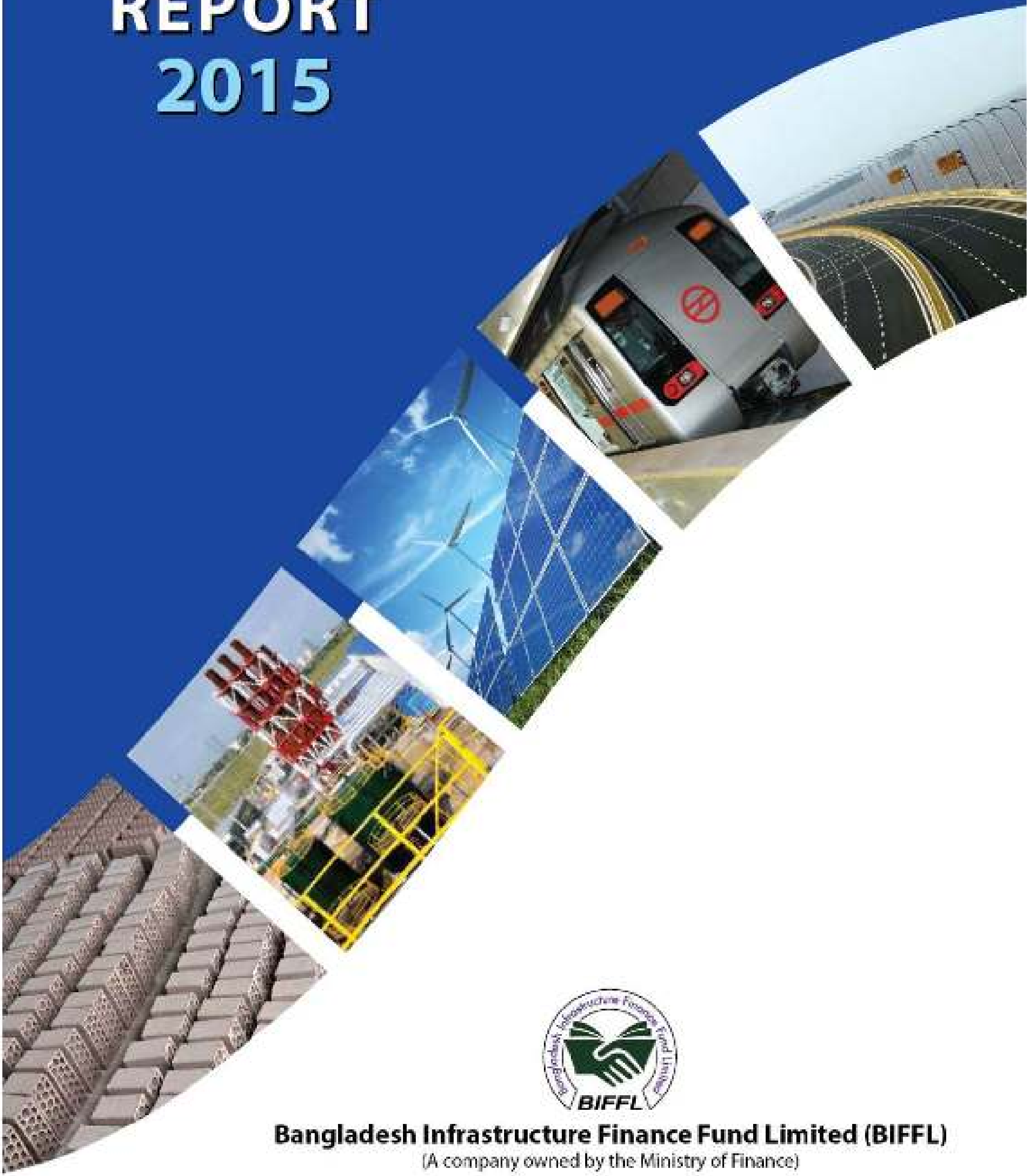
ANNUAL REPORT 2015



Bangladesh Infrastructure Finance Fund Limited (BIFFL)

(A company owned by the Ministry of Finance)

Financial Highlights 2015

BDT in Crore.

Particulars	2014	2015	% Change
Total Operating Income	231.51	184.25	-20.41%
Profit After Tax	97.53	100.24	2.78%
Total Asset	2,254.75	2,499.63	10.86%
Shareholders' Equity	2,043.43	2,133.66	4.42%
Return on Asset	4.33%	4.01%	-7.39%
Return on Equity	4.77%	4.70%	-1.47%
Net Asset Value Per Share	140.92	128.85	-8.57%
Earnings Per Share	5.03	5.17	2.78%

Post-2015 Highlights

First investment in Equity

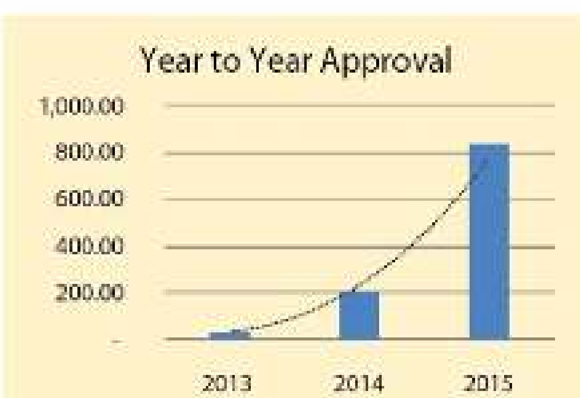
BIFFL invested BDT 45 crore in Preference Shares of Summit Group for construction of two (02) power plants located at Barisal and Narayanganj. This is the first equity investment of BIFFL. Both power plants have achieved Commercial Operation Date and currently supplying electricity to the National Grid successfully.

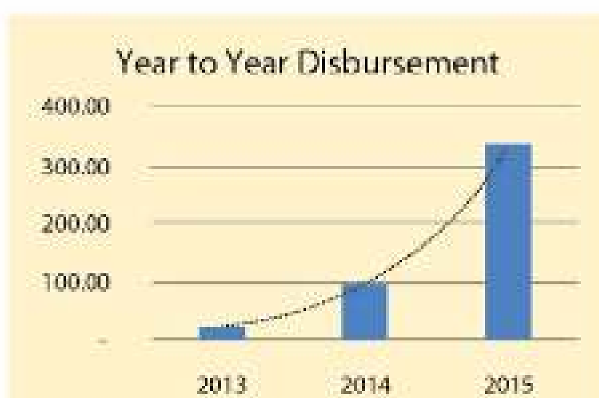
First investment in Commercial Paper

Commercial Paper (CP) is now a popular money market instrument. Large corporates are issuing short-term commercial paper to meet their working capital (WC) needs. Max Infrastructure Ltd., the largest Railway Construction Company in the country, issued CP to meet WC need of some of their infrastructure projects like, Aktharuzzaman Flyover (Chittagong), New Railway Construction (Gopalganj) and maintenance of railways in other places. BIFFL invested in CP issued for these projects, amounting BDT 40 crore. BIFFL has also invested in CP issued by BanglaTrac Limited, one of the largest power generator sellers in the country, amounting BDT 30 crore.

Taking part in the first ever Elevated Expressway in Bangladesh

In the year 2015, BIFFL approved a term loan in favour of First Dhaka Elevated Expressway amounting BDT 400 crore. The project has started its construction after completing 1st phase of Land Acquisition and BIFFL has also started disbursement and disbursed BDT 97.3 crore by August 2016.





CONTENT

VISION

Acceleration of economic growth by leveraging relative strengths of Public and Private Sector through financing infrastructure projects.

MISSION

- To perform as a professional Financial Institution by adopting the internationally accepted best practices and maintaining highest level of moral and ethical standards.
- To promote Country's economic development by facilitating and encouraging Private Sector Investment in all infrastructure projects.
- To support sustainable economic growth of Bangladesh through facilitating infrastructure development.

GOAL

- To provide long-term finance to critically important infrastructure projects.
- To catalyze co-financing from private financial sources for infrastructure.
- To provide a unique vehicle for capital market development by exploring a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle.

OBJECTIVES

- To promote, encourage and finance Private Sector Investment in infrastructure sector.
- To extend financing facilities for the infrastructure projects in the form of debt or equity.
- To attract private investment in long-term infrastructure projects: overcoming the asset liability mismatch of existing bank finance.
- To create funds, sub-funds, including Islamic Funds, and any other type of Funds as deemed appropriate by the Company for infrastructures.

STRATEGIC PRIORITIES

- To develop, finance, monitor and implement infrastructure projects
- To focus on recruitment and retention of skilled, honest, creative and talented manpower.
- To ensure transparency, accountability, fairness in operation and zero tolerance on corruption and sexual harassment.
- To maximize shareholder equity by maintaining asset quality with balanced and sustainable growth.
- To enhance brand image through excellent customer service, CSR activities and finance in green & energy efficient projects.
- To increase in paid- up capital and paying dividend to the shareholders.

Milestones

As of July 2016

Date	Achievement
10 December 2015	First disbursement was made to a Connectivity Project (First Dhaka Elevated Expressway). This is also the First disbursement in a PPP Project under the PPP office.
19 October 2015	First disbursement was made to an Economic Zone (Sreehatta Economic Zone).
01 June 2015	Mr. S.M. Formanul Islam joined as the second full-time Executive Director & CEO of BIFFL.
02 March 2015	First disbursement was made to a Brick Project (ARB Enterprise)
06 August 2014	First disbursement was made to a Power Project (Sinha People's Energy Limited).
03 June 2014	BIFFL signed participation agreement with Bangladesh Bank to participate in the Financing Brick Kiln Efficiency Improvement Project.
10 October 2013	BIFFL signed participation agreement with Bangladesh Bank to participate in the Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector.
25 June 2012	The Ministry of Finance nominated the dignitaries for the formation of an 11-member Advisory Board for BIFFL.
01 February 2012	Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL.
16 October 2011	Obtained license from Bangladesh Bank.
20 April 2011	The first meeting of the Board of Directors held at the Finance Division, Ministry of Finance, Bangladesh Secretariat.
12 April 2011	The Ministry of Finance approved the formation of the 8-member Board of Directors for BIFFL.
11 March 2011	Incorporation of the company with highest paid up capital in the business history of the country (BDT 16.0 billion/USD 200 million).
29 July 2010	Cabinet meeting of the govt. approved the formation of BIFFL, its Memorandum of Association and Article of Association.

CORE VALUES

1. Professional excellence
- We provide quick and accurate services to the customers.
- We handle individual work in a professional manner.

2. Integrity
- Integrity and ethics are the hallmarks of our business operation.
- We strictly maintain zero tolerance on corruption.

3. Transparency
- We focus on the highest level of transparency while providing accurate and timely information about our products, performance, and financial results to meet the expectations of the stakeholders.

4. People
- We support our colleagues and invest in their development to help them realize their full potential.
- We recognize and reward outstanding performance.

5. Customer
- We listen to our customers and understand their needs.
- We build enduring relationship with our customers by delivering superior products and quality services.

6. Concerted effort
- We work together to deliver excellent performance, taking responsibility, holding ourselves accountable, and respecting the contribution of others.
- We communicate effectively & efficiently and give each other the space to do the job.

7. Prudent risk taker
- We manage investment risk prudently.

8. Effectiveness
- We actively invest in infrastructure, process improvement and skills to lower our delivery costs.
- We do the right things right the first time, on time, and every time.

9. Focus on sustainability
- While considering a project we attach high importance on its social and environmental impact to make the project sustainable in the long run.

10. Building the Future
- We believe in real and sustainable benefit.
- We support green to protect the environment.
- We keep building a family with our employees, shareholders, customers, and communities.

11. Quality
- We strive to exceed expectation.
- We do not compromise with our service standard.

12. Accountable citizen
- We are tax compliant.
- We are respectful to the laws of the land.

Core Values

Ethical values are based on our corporate norms & culture; and it expresses basic ethical code, attitudes, and rules that the employees follow at their work. We maintain solid and clearly defined corporate culture. It is the system of behaving with each other, coordinating, and teamwork in all circumstances.

	Equality	Transparency	Respect	Liberty	Belief
Colleague	• No discrimination on the grounds of religion, sex and race • Practices respect and care towards employees at all time • No nepotism in recruitment, promotion, training, and incentive policies	• Sharing knowledge to enhance company's value • Ensure transparency in career path	• Listen and pay attention to the employees, respecting their values, feeling, and moral stance • Never use any undue pressure or offend someone	• Create proper environment for freedom of dissent and freedom of as expression • Offer everybody the chance to practice the values of leadership and develop his/her own professional personality	• Keep our commitment, admitting the possibility of mistakes made in good faith
Customers	• Strive for excellent customer service at all times • Pay appropriate attention to each of our customers	• Ensure timely information on products and services at all times	• Maintain confidentiality on any information acquired in relation to customer, the company and its decisions	• Handle interpersonal relations in free and equal terms without being in awe of those who are stronger and without showing arrogance towards those who are weaker	• Build-up confidence through behaviors that constantly confirm our reputation and relationship
Investors	• Pay appropriate attention to the investors without discrimination	• Aim to be clear, complete and timely • Use most effective communication channel for investors; • Turn market communication into an economic and cultural value	• Behave with investors in line with corporate values and professional ethics	• Achieve freedom of action such that we can keep the promises we make to the market without undue influence	• Develop lasting and continuous relationship with the financial community • Safeguard our consistency and credibility • Willingly accept any criticism expressed by the market
Communities	• Maintain sustainable relationship with the stakeholders in order to protect our environment	• Keep the community informed of what we do and how we do it	• Promote growth which is environmentally and socially sustainable	• Respect individual moral codes and culture	• Establish social and cultural relations with communities, whose distinctive features should be reciprocal

Corporate Information

BOARD OF DIRECTORS

Chairman
Mr. Mahbub Ahmed
Senior Secretary, Finance Division, Ministry of Finance.

Directors
Ms. Suraiya Begum, ndc
Secretary, Prime Minister's Office.

Mr. Monowar Islam, ndc
Secretary, Power Division, Ministry of Power, Energy and Mineral Resources.

Mr. M.A.N. Siddique
Secretary, Road Transport & Highways Division, Ministry of Road Transport and Bridges.

Khandker Anwarul Islam
Secretary, Bridges Division, Ministry of Road Transport and Bridges.

Mr. Nazimuddin Chowdhury
Secretary, Energy & Mineral Resources Division, Ministry of Power, Energy and Mineral Resources.

Mr. A.R.M. Nazmus Sakib
Additional Secretary, Finance Division (TDM), Ministry of Finance.

Mr. S.M. Formanul Islam
Executive Director and CEO, BIFFL.

Chief Executive Officer (CEO)
Mr. S.M. Formanul Islam

Company Secretary (CS)
Mr. Mohammad M. Khan, ACS

Executive Committee
Chairman
Khandker Anwarul Islam

Members
Mr. Monowar Islam, ndc
Mr. A.R.M. Nazmus Sakib
Mr. S.M. Formanul Islam

Secretary
Mr. Mohammad M. Khan, ACS

Audit Committee
Chairman
Mr. M.A.N. Siddique

Members
Mr. Nazimuddin Chowdhury
Mr. A.R.M. Nazmus Sakib

Secretary
Mr. Mohammad M. Khan, ACS

Registered Office
4, Anjuman Mufidul Islam Road,
Kakrail, Dhaka-1000.
PABX: +880-2-8333238-9
FAX: +880-2-9348518

Incorporation
Company Registration No-C91370/11
March 21, 2011

Licensing By Bangladesh Bank
October 16, 2011
DFIM (L)-32

Share Capital
Authorized Capital
BDT 10,000 Crore

Paid-up Capital
BDT 1940 Crore

Value per Share
BDT 100 Each

Sponsors
Finance Division, Ministry of Finance

Website
www.biffl.org.bd

Auditors
M/s. S.F. Ahmed & Co.
Chartered Accountants
House # 51(2nd Floor), Road# 09; Block-F, Banani,
Dhaka, Bangladesh

ADVISORY BOARD

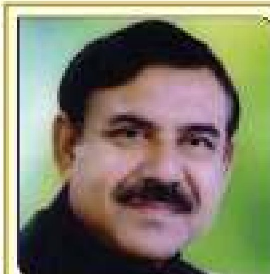
In Accordance with the Articles of Association of BIFFL (Article-134 & 135), a nine (09) Members Advisory Board was formed which is the apex body of the organization to provide guidance and strategy to the Company and also to monitor the implementation with a view to updating and implementing the Company and Goverment's goals for Infrastructure developement in the country.

Abul Maal A Muhith
The Honorable Minister
Ministry of Finance

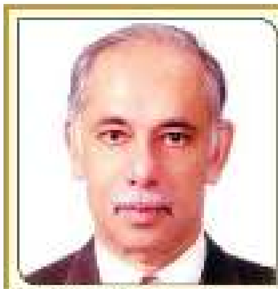
Dr. Tawfiq-E-Elahi Chowdhury
Adviser to the Honorble
Prime Minister for Ministry
of Power, Energy & Mineral
Resources

Amir Hossain Amu, MP
The Honorable Minister
Ministry of Industries

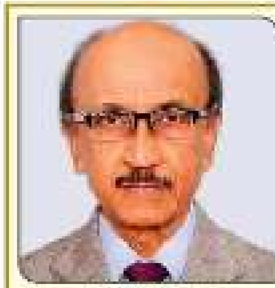
Obaidul Quader
The Honorable Minister
Ministry of Road Transport &
Bridges



Shajahan Khan
The Honorable Minister
Ministry of Shipping



Dr. Syed Abdus Samad
Executive Chairman
BOI, Prime Minister's Office



Fazle Kabir
Governor
Bangladesh Bank

Dr. Mohammed Farashuddin
Ex Governor, Bangladesh Bank

Dr. Zaidi Sattar
Chairman
Policy Research Institute
of Bangladesh

Board of Directors

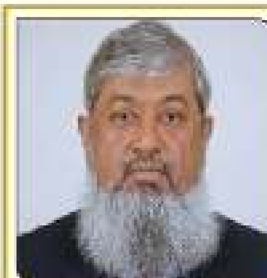
The authority to make policies and decisions for the Company is vested with the eight-member Board of Directors.

Mahbub Ahmed
Chairman

Suraiya Begum, ndc
Director

Monowar Islam, ndc
Director

M.A.N. Siddique
Director



Khandker Anwarul Islam
Director

Nazimuddin Chowdhury
Director

A.R.M. Nazmus Sakib
Director

S.M. Formanul Islam
Executive Director & CEO

BIFFL Team

MESSAGE FROM THE CHAIRMAN, ADVISORY BOARD

Ministry of Finance
Government of the People's
Republic of Bangladesh

Abul Maal A. Muhith
Minister

Message

On behalf of the Advisory Board of Bangladesh Infrastructure Finance Fund Ltd. (BIFFL), I would like to convey my heartiest congratulations to all the shareholders, directors and employees on this occasion of the Company's 5th Annual General Meeting. I am pleased with the progress the company has made so far.

Bangladesh aspires to be a middle-income country by 2021 and according to the World Bank Atlas it already has reached that status. Infrastructure deficit is a fact of life in most developing countries, particularly of Asia. This deficit must be made up fast in order to formally graduate from a least developed country status to that of a middle income country. In augmenting the infrastructure network of the country BIFFL has a pivotal role.

Government has initiated allocating funds for Public Private Partnership projects and so far, BIFFL has maintained a robust pipeline of medium and large infrastructure projects. I repose my confidence in BIFFL and its employees, and believe that they will be able to facilitate the implementation of these projects through financial and technical support.

I am happy to know that BIFFL has approved financing for a few mega projects such as First Dhaka Elevated Expressway (FDEE), Sea Pearl Beach Resort & Spa Ltd., Sreehotto Economic Zone Project, Bangladesh India Moitree Power Project (Rampal), Hotel Le-Meridien Dhaka and the like. I also commend their efforts in delving into financing renewable as well as energy efficiency projects.

I would like to take this opportunity to put on record my gratitude to fellow members of the Advisory Board for their unrelenting support in the pursuit of continuous improvement of the company. My nncere thanks go to Bangladesh Bank and other regulators for their timely guidance and support. Last but not least, I would like to convey my heartfelt appreciation and best wishes to all the employees of BIFFL for their hard work and commitment.

Thank you all.

24/8/16

(Abul Maal A. Muhith, MP)

Address: Building # 7 (3rd floor), Room # 331-339, Bangladesh Secretariat, Dhaka-1000, BANGLADESH
Phone: 088-02-9514477, 9514391(PS), 9571515 (APS), 9512204 (PRO), Fax # 088-02-9514404

MESSAGE FROM THE CHAIRMAN, BOARD OF DIRECTORS

7 September, 2016

With immense pleasure, I welcome you all to the 5th Annual General Meeting of Bangladesh Infrastructure Finance Fund Ltd. (BIFFL). On this auspicious occasion, on behalf of the Board of Directors and shareholders of BIFFL, I sincerely congratulate all concerned for their commendable efforts in the journey of BIFFL. I would like to convey my heartfelt gratitude and appreciation to all the members of the Advisory Board, Board of Directors and Shareholders of BIFFL for their relentless cooperation and support in smooth maintenance of company operations during the year 2015.

The highlights for Bangladesh economy in 2015 are stable growth, declining inflation, rising reserves, contained fiscal deficit and stable public debt. Despite disruption of economic activities in the 3rd quarter of FY 2015, GDP recorded 6.5 percent growth rate. Inflation was contained and continued to decline. Interest rates in the financial sector also continued to fall. Exchange rates remained stable.

2015 has been a good year for BIFFL as its financials portray healthy key performance parameters i.e. profitability, quality of assets, capital adequacy etc. In comparison to previous fiscal year, profit after tax posted 2.76 percent growth increasing to Tk. 100 crore from Tk. 97 crore. Shareholder's equity increased by 4.41 percent (from Tk. 2,043 crore to Tk. 2,133 crore). Financial health of the company remains strong and stable as indicated by BIFFL's capital adequacy ratio which is 112.48 percent against the required rate of 10 percent. The company remained consistently in the green zone in the stress testing conducted by the central bank.

In the year 2015, BIFFL made direct contribution of Tk. 76 crore to the national exchequer by paying income tax. BIFFL contributed Tk. 16 Lakh including Tk. 10 Lakh to the Prime Minister's Fund as part of its CSR activities.

BIFFL keeps on exploring new and diversified avenues for infrastructure financing with the aim of developing and maintaining a sound and sustainable investment portfolio.

As part of HRM, BIFFL has completed recruitment of around 23 percent of its sanctioned strength under different categories in order to keep the organization vibrant.

BIFFL's potential projects pipeline has become even more robust during the year which includes some renewable energy and energy efficiency projects. The Board has approved financing for a few milestone projects like First Dhaka Elevated Expressway (FDEE), Sea Pearl Beach Resort & Spa Ltd., Sreehotto Economic Zone Project, Bangladesh India Moitree Power Project (Rampal), Summit Power (Barisal & Narayanganj), Le-Meridien Dhaka etc. During the financial year, the Board also approved loans for Naz Auto Bricks Ltd.- the first to establish an energy-efficient tunnel kiln brick project and Odyssey Crafts (Pvt) Ltd. which could be the first green building project financed through a syndication of lenders.

I would like to take this opportunity to thank our valued borrowers for their continued cooperation and for putting their trust in BIFFL. I would like to convey my heartfelt appreciation to all the employees of BIFFL for their dedication and diligence. My sincere thank goes to all the regulatory bodies- the Ministry of Finance, Bangladesh Bank, Registrar of Joint Stock Companies and Firms and Securities and Exchange Commission for their impressive support throughout the journey of BIFFL.

The new fiscal year confronts us with its own set of challenges and hurdles. I am confident that BIFFL with its diligent workforce will be able to overcome these hurdles. Hopefully, 2016 will be a year of reaching greater heights and achieving bigger milestones for BIFFL.
With thanks and best regards,

Mahbub Ahmed
Chairman

MESSAGE FROM THE CHIEF EXECUTIVE OFFICER

BIFFL has successfully completed another year of operation. I would like to express my deepest gratitude to our Advisory Board, Board of Directors and Shareholders for their continued support and guidance. Reposing of the trust and faith by the Shareholders on the Board of Directors and management has resulted in tremendous positive outcomes in Company's performance, which might make our peers wonder and competitors zealous. All credit goes to the Board in recognizing the need for bringing in transformation in BIFFL's lending policy as well as organizational structure.

Today's BIFFL is certainly different from the one people used to see before! Diversification of BIFFL's financing products and strategic outreach activities were key to attract the interest of both private and public sector operators to its financial services. As a result, we were able to close several financial deals in relatively short period of time. A robust pipeline of projects under consideration of BIFFL's financing is a testament of the tremendous responses we have received from the sector.

BIFFL is a development finance institution. It started its capital base with the fund received from the Government's budgetary resources. From its commencement, the Company had a vision to attract development fund from various development partners. Starting the discussion in late 2015, BIFFL has recently been included in two JICA funds, namely, Energy Efficiency and Conservation Project and Foreign Direct Investment Promotion Project. Credit Agreements between the Government and JICA have already been executed under both projects. The process for signing Subsidiary Loan Agreements between BIFFL and the Government is ongoing. Both funds are expected to be available by late 2016. In addition, BIFFL is also in talks with the World Bank for implementing the next phase of Investment Promotion & Financing Facility (IPFF) Project. If successful, that would mitigate BIFFL's shortage of foreign currency resources, often sought by the developers of large infrastructure projects.

With a view to becoming sustainable in the long run as well as having a permanent address, BIFFL has bought a space of approx. 16,000 sft. at Borak Unique Heights at 117, Kazi Nazrul Islam Avenue, Ramna, Dhaka Interior decoration of the new office is in progress. The new office has been registered with the United States Green Building Council for Leader in Energy Efficiency and Development (LEED) platinum certification. The new office is expected to be available for use by late 2016.

Recruitment of 12 new officials from diverse backgrounds has taken the organization into a greater height in terms of its professional capabilities to handle difficult projects. The selection process was truly competitive, fair and transparent. Attracting the best among fresh graduates from leading educational institutions proves BIFFL becoming an employer of choice for the bright and talented graduates. The efforts of making the organization a great platform for harboring talent and developing extraordinary professionals in the infrastructure sector will continue in future.

The Financial Year 2015 was good! The year 2016 promises much more! We count on the able guidance from the Board and our regulators; continued trust from the existing and potential borrowers; and seamless commitment of the BIFFL Team to translate all 2016 promises into reality.

Finally, I would like to take this opportunity to thank all of our stakeholders, regulators, borrowers, peers and colleagues for tremendous support, efforts and hard work rendered to make the year 2015 a success for BIFFL.

S.M. Formanul Islam
Executive Director & CEO

Letter of Transmittal

Dear Sir (s),

We are very much happy to present the Annual Report for the year of 2015 of Bangladesh Infrastructure Finance Fund Limited (BIFFL).

BIFFL is a financial institution under the ownership of the Finance Division, MoF. It finances infrastructure and environment & eco-friendly projects to ensure sustainable economic growth of the country.

The Annual Report contains all material information of the functions and financial outcomes of the works audited by the external auditors. The report also presents the Corporate Governance & Regulatory Compliance Status of the organization.

To our knowledge, the report also provides the information required by the regulators and other applicable legislations.

Yours Sincerely,

S.M.Formanul Islam
Executive Director & CEO

Ref. No- 14/BIFFL/CS-2.2.1/2016
Date: 14 August, 2016

NOTICE

The 5th Annual General Meeting

Notice is hereby given that the 5th Annual General Meeting (AGM) of Bangladesh Infrastructure Finance Fund Limited (BIFFL) will be held on Wednesday, 7 September 2016 at 5.00 p.m. at the Grand Ballroom on 15th floor of Le Meridien Dhaka, 79/A Commercial Area, Airport Road, Nikunja-2, Khilkhet, Dhaka-1229 to transact the following business:

1. To receive, consider and adopt the audited financial statements for the year ended on 31 December 2015 and the Director's Report thereon;
2. To declare Dividend for the year of 2015;
3. To elect / re-elect the Director(s);
4. To appoint / re-appoint the Auditors and fix their remuneration for the year of 2016 till the completion of 6th Annual General Meeting-2016.
5. Any other matters.

The shareholders are requested to attend the meeting.

By order of the Board,

Mohammad M. Khan, ACS
Company Secretary

DIRECTORS' REPORT

Dear Shareholders,

Assalamu alaikum. The Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) takes the pleasure to present the Annual Report and the Audited Financial Statements of the company for the year ended on 31st December 2015. This report has been prepared in compliance with section-184 of the Companies Act, 1994, the applicable rules & regulations of Bangladesh Bank, Bangladesh Accounting Standards (BAS), and Bangladesh Financial Reporting Standards (BFRS).

1. The World Economy

Economic activities in the world economy remained lackluster, with little prospect for a turnaround in 2016. World gross product is expected to grow by 2.4% in 2016, the same pace as was in 2015, marking a downward revision of 0.5% points from UN forecasts released in December 2015. Persistent weakness in aggregate demand in developed economies remains a drag on global growth, while low commodity prices, mounting fiscal and current account imbalances, and policy tightening have further dampened prospects for many commodity-exporting economies in Africa, the Commonwealth of Independent States, and Latin America, and the Caribbean. This has been compounded by severe weather-related shocks, political challenge and large capital outflows in many developing regions.

GDP growth in the least developed countries is forecast to reach just 4.8% in 2016 and 5.5% in 2017, well below the Sustainable Development Goal target of "at least 7 % GDP growth.". This may put at risk much needed public spending on education, health and climate change adaptation as well as progress in poverty reduction.

On the positive side, global energy-related carbon emissions remained flat in 2015, suggesting a potential delinking of economic growth and carbon emissions growth as highlighted in World Economic Situation and Prospects 2016. Investments in renewable energy sources reached a new record in 2015, mainly due to increased commitments and policy support in many developing countries.

The group of least developed countries (LDCs) is experiencing a modest slowdown of their economies, with growth rates falling from 5.1% in 2014 to an estimated 4.5% in 2015. Weaker export demand from emerging economies, lower commodity prices, net capital outflows and weak investment growth—and in some cases, military conflicts, natural disasters and adverse weather effects on agricultural output exerted downward pressure on growth this year. A rebound to 5.6% growth in both 2016 and 2017 is projected, underpinned by stronger demand from developed economies growing domestic demand, and stabilizing commodity prices. Lower commodities prices (particularly oil) have reduced the import bills of resource-importing LDCs and contributed to lower inflation, although in some countries the gains have been partially offset by depreciating exchange rates. Bangladesh, the largest LDC in terms of both the population and size of gross domestic product (GDP), is expected to benefit from the recovery in the developed economies, and is projected to grow by 7.0% in 2016, largely driven by private consumption, investment, and additional export demand from Europe and the United States of America. Government spending on power, water, and transportation infrastructure projects is expected to increase significantly, supporting growth in the short term, but likely to result in a larger budget deficit.

2. Macro economy/ financial sector of Bangladesh

Bangladesh, however, sets a different tone of optimism in the sound ambiance of macro stability. Investments are likely to gear up in 2016 as the fiscal and monetary authorities are coordinating in the areas of inflation, interest rates, exchange rates, revenue collection, and ADP implementation. The government seems committed to augmenting the availability of infrastructure and energy. Given the experiences of 2015, political turbulence does not appear to flare up to destabilize the whole gamut of economic decisions in 2016. Bangladesh's projected growth for 2016 will be almost double than of the World's and higher than China's. A recent World Bank study shows that one percentage point increase in India's growth contributes to an increase in Bangladesh's growth by 0.4% points. Hence, the highest growth at 7.5% of India in the region will be beneficial for Bangladesh's investment and growth through the channels of trade and services.

The Government targeted economic growth at 7.0%. Bangladesh bank forecasts, based on an ARMA model and the other one based on sector-wise 10-year average growth, show a range from 6.8% and 6.9%. The World Bank projects growth for 2016 at 6.8%. Providing electricity, gas, and infrastructure to businesses are priorities to ensure slightly upward growth in a sustained fashion. Faster implementation of ADP will be helpful to promoting revenue and growth potentials for the country.

3. Operational Performance of BIFFL

The company has completed and closed its financial year-2015 and also audited the financial transactions and records with financial results by the external auditor as per Law & Regulations.

During the year of 2015 the company earned BDT 100.23 crore after Tax and statutory provisions. The accumulated profit after tax stands at BDT 84.92 crore. This amount of income has increased the funding capacity of the organization.

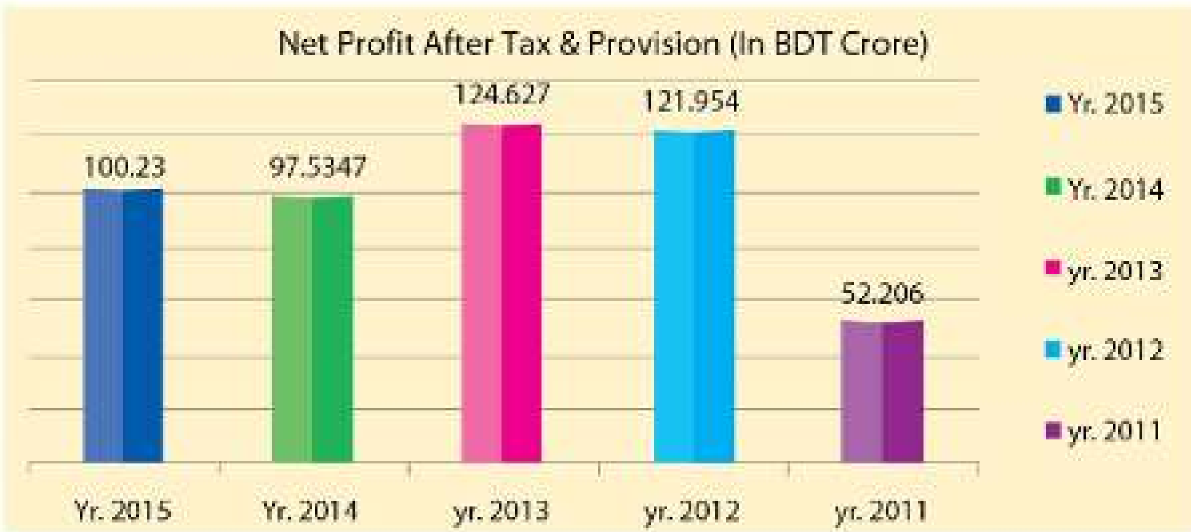
In the year of 2014 the retained earnings/accumulated profit was BDT 354.00 crore. By the approval of the shareholders in the 4th Annual General Meeting the Stock Dividend was isssued for 3,40,00,000 shares @ BDT100 each i.e. BDT 340,00,00,000 in total, Cash Dividend for BDT 10,00,00,000 was issued and disbursed to the Finance Division, Ministry of Finance as the Shareholders of BIFFL

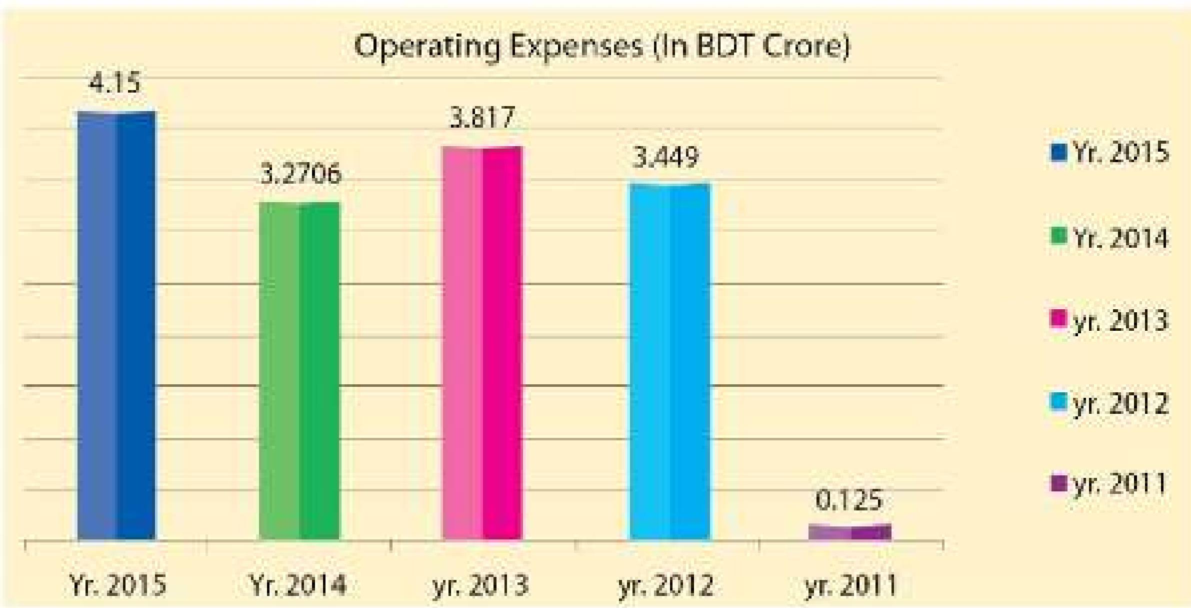
Therefore, the current paid up capital of the organization has increased to BDT 1,940,00,00,000 widening the capital base of the organization.

The summary of financial results of the company for the year ended at December 31, 2015:

Particulars	Yr. 2014 (BDT Crore)	Yr. 2015 (BDT Crore)	Changes in %	
Net Interest Income	6.2478	16.514	164.32%	Loan interest has increased;
Interest Income (FDR & SND A/C)	225.2624	167.7324	-1627.19%	Last year interest was restated from 269.397 to 225.262 crore due to inclusion of interest of the year 2013. FDR interest has decreased.
Operative Expenses	3.2706	4.1495	26.89%	Operative Expenses has increased.
Profit Before Income Tax	227.2066	176.7717	-22.20%	Income has decreased due to decrease of FDR Interest.
Provision For Income Tax	129.6719	76.5424	-40.97%	Decreased.
Net Profit After Tax & Provision	97.5347	100.2293	2.76%	Increased.
Earnings Per Share (EPS)	Tk. 0.503	Tk. 0.517	2.78%	EPS for 2014 was restated from 7.97 to 5.03 by the increased number of ordinary shares.
Authorized Capital	10,000.000	10,000.000	-	No Change

Particulars	Yr. 2014 (BDT Crore)	Yr. 2015 (BDT Crore)	Changes in %	
Paid up Capital	1,600.000	1,940.000	21.25%	Increased.
Statutory Reserve	88.6852	108.731	22.60%	Increased
Retained Earnings	3,54.741	84.924	-76.06%	Decreased due to issuance of dividend from the last year retained earnings.
Fixed Assets	0.6304	0.7852	24.60%	Increased of Tk. 31.88 lac for new purchase and decreased of Tk. 16.40 for depreciation of assets.



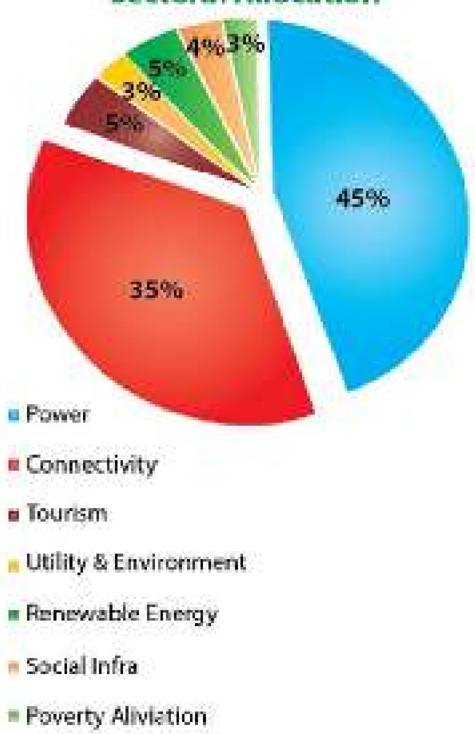


Reference:
World's economic situation and prospect (WESP) mid-2016 report;
Monitory Policy Statement (Jan-June 2016)

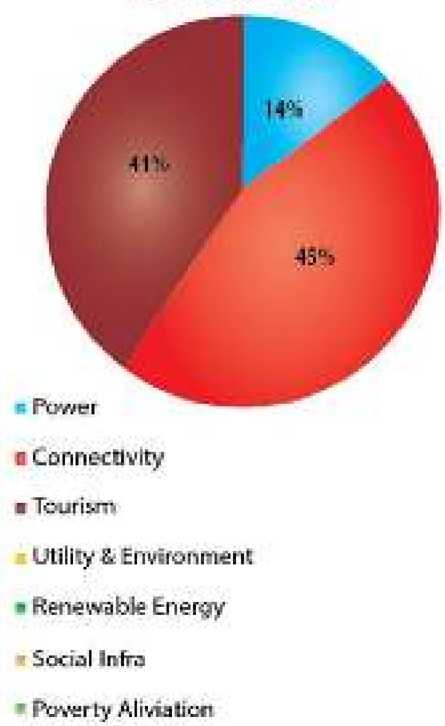
Status of approval and disbursement of loan:

SL	Name of Project	Approved Amount (BDT)	Date of Disbursement	Disbursed Amount (BDT)
1	Sinha Peoples Energy Ltd	1,000,000,000	6-Aug-14	993,518,000
2	Regent Energy & Power Ltd.	300,000,000	23-Nov-15	300,000,000
3	Bangladesh Petrochemical	225,000,000	-	-
4	ARB Enterprise	6,000,000	2-Mar-15	6,000,000
5	First Dhaka Elevated Expressway	4,000,000,000	10-Dec-15	120,000,000
6	Naz Auto Bricks	100,000,000	-	-
7	Bangladesh Economic Zones Authority	3,650,000,000	19-Oct-15	2,920,565,337
8	Impulse Hospital & Research Centre	300,000,000	-	-
9	Imperial Hospital Ltd.	500,000,000	-	-
	Total	10,081,000,000		4,340,083,337

Sectoral Allocation



Disbursement



Status of recovery of loan:

SL	Name of Project	Disbursed Amount	Outstanding (Principle + Interest)
1	Sinha Peoples Energy Ltd.	993,518,000	980,357,144
2	Regent Energy & Power Ltd.	300,000,000	301,718,442
3	ARB Enterprise	6,000,000	5,610,606
4	First Dhaka Elevated Expressway	120,000,000	120,000,000
5	Bangladesh Economic Zones Authority	2,920,565,337	2,950,582,259
	Total	4,340,083,337	4,358,268,450

4. Sources of Fund

The growth of the company's loan portfolio will require alternative sources of fund in the coming years. The organization is in discussion for sourcing alternative finance from the developing partners i.e. JICA, ADB, World Bank etc. Besides, BIFFL has other options like issuance of Bonds and Shares through the capital market.

a. Energy Efficiency and Conservation Promotion Financing Project

Under the Japanese ODA loan package, dated November 2014 between Japan and Bangladesh Government, the agreement on Energy Efficiency and Conservation Promotion Financing Project (BD-P90) was signed on 29 June 2016. The Ministry of Finance (MoF), GoB would be the executing agency. The MoF would sign a Subsidiary Loan Agreement (SLA) with BIFFL.

The total cost of the project will be 13,089 million Japanese Yen (JPY) among which 11,988 million JPY will be financed by JICA and 1,102 million JPY will be financed by Goverment of Bangladesh (GoB).

Total loan amount of 9,978 million JPY or approximately 95 million USD are available for both BIFFL and IDCOL. The loan will be provided on first-come-first-serve basis.

BIFFL will receive 574 million JPY or approximately 5.5 million USD for consultancy service from JICA as a grant. This service could be used for 6 years. GoB/SREDA should bear the costs related to Administrative, VAT, Income tax etc.

JICA recommended that necessary fund for Consulting Services for SREDA, BIFFL, and IDCOL will be provided as Grant from GOB to ensure the feasibility of the project. If they fail to convince the GOB to mobilize the fund as grant, then the project may become unfeasible from JICA's technical point of view.

Mr. S.M. Formanul Islam, Executive Director and CEO of BIFFL would be the Project Director of the Energy Efficiency and Conservation Promotion Financing Project (BD-P90).

b. Equity Backed Finance (EBF) Component of ODA Loan of JICA

The Government of Bangladesh has decided to establish a separate Special Economic Zone (SEZ) for Japanese investors to boost investment in Bangladesh's transport, infrastructure, power, energy, and garments sectors to increase bilateral trade;

JICA will act as the donor agency of the project. The fund will flow from JICA to GoB. GoB will channel the fund to the Bank and Financial Institutions Division, Finance Division (FD), and Prime Minister's Office (PMO) who will act as the executing agencies of the project. The executing agencies are going to lend into the implementing agencies of the project.

To attract private sector investment and FDI, relevant agencies will develop EZs, existing EPZs, and other industrial park/estates together with the potential EZ developers which will subscribe to the establishment of Special Purpose Company (SPC).

BIFFL will utilize the subsidiary loan from GoB and issue equity along with Japanese developer and BEZA. Thus, an SPC will be formed, where Japanese investor will invest not less than 51% of the equity portion. Equity portion of BEZA and BIFFL will be around 25% and 24% respectively.

Mr. S.M. Formanul Islam, Executive Director and CEO of BIFFL would also be the Project Director of Equity Backed Financing project.

5. Human Resources

The BIFFL Board believes and considers that the Human Resource is a key driver of the organization which must be efficient, skilled, and competent to perform toward achieving the objective of the organization. With that veiw, the Board has revised the organogram of BIFFL and approved 13 new positions for recruitment. Subsequently, the recruitment was conducted by the recruitment committee through a fair, comprehensive and competitive process and was also approved by the Board.

The BIFFL's Board and the Management also prioritize the continuous development of professional skill, knowledge and expertise of the employees through training, exposure, and exchanges.

6. Policies of BIFFL

• Credit Policy

BIFFL has formulated primarily the most important document for its operation - the Credit Policy. It has been approved by the BIFFL Board of Directors in it's 13th meeting held on 18th September, 2013 and continuingly updated as per need. It has specified areas and guidelines for large, medium, and small scale investments. The credit policy covers the credit strategy for investment, eligible criteria for investment, financing limits, security parameters for Loan, Fees, and others relevant issues. The BIFFL Board in its 28th meeting held on August 10, 2015 has revised the credit policy bringing some changes.

The major changes are inclusion of :

i) Security Package;
ii) Different financing products;
iii) Nature of loan;
iv) Increase of Financing limits;
v) Revision of interest rate, and
vi) Inclusion of Renewable Energy & Eco-friendly projects.

• Core Risk Policies

The Board in its 25th meeting held on May 17, 2015 approved the core risk policies comprising Asset-Liability Management, Internal Control and Compliance Management, Anti Money Laundering & Combating Terrorist Financing Policy, and Information & Communication Technology Policy.

• Human Resource Policy

The BIFFL Management has been working to formulate the Human Resource Policy for the organization. The BIFFL Board has already assigned the Executive Committee to review and examine the policy and advised to place before the Board for final approval. After approval of that policy, the management will organize a workshop for employee awareness and adoption of that policy.

7. Shareholding Structure

Particulars	Number of shares held at the end of years				
	2011	2012	2013	2014	2015
Finance Division Ministry of Finance	159,999,984	159,999,984	159,999,984	159,999,984	19,39,99,984
Secretary Finance Division, MoF	10	10	10	10	10
Secretary, Prime Minister's Office	1	1	1	1	1
Secretary Power Division, MoPEMR	1	1	1	1	1

Particulars	Number of shares held at the end of years				
	2011	2012	2013	2014	2015
Secretary, Energy & Mineral Resources Division, MoPEMR	1	1	1	1	1
Secretary, Road Transport & Highways Division, MoRTB	1	1	1	1	1
Secretary, Bridges Division, MoRTB	1	1	1	1	1
Additional Secretary (TDM), Finance Division, MoF	1	1	1	1	1

8. Board of Directors

The Board of Directors of BIFFL consists of eight (08) members. Seven (07) members are nominated from the different Ministries of the Government and another one is the Executive Director & Chief Executive Officer (CEO) of BIFFL as an ex-officio member of the Board.

As per Article of Association of the company (clause -101), the CEO is responsible to conduct the day-to-day business operation of the company and discharge his duties and responsibilities under the supervision and control of the company's Board.

Change of Directors in 2015:

In the order of the date of joining:

SL	Particulars	Designation	Date of 1st Appointment	Date of Last Appointment / Re Appointment	Remarks
1	Mr. Abul Kalam Azad	Director	21-Mar-11	10-Feb-14	Ceased on 11 Apr 2015
2	Mr. A.R.M Nazmus Sakib	Director	03-Nov-11	12-Sept-15	Continuing...
3	Khandker Anwarul Islam	Director	15-Dec-11	14-Sept-14	Continuing...
4	Mr. M. A. N. Siddique	Director	15-Dec-11	14-Sep-14	Continuing...
5	Mr. Monowar Islam,ndc	Director	08-May-13	14-Sep-14	Continuing...
6	Mr. Mahbub Ahmed	Chairman	19-Aug-14	12-Sept-15	Continuing...
7	Mr. Md. Abubakar Siddique	Director	19-Aug-14	14-Jan-16	Ceased
8	Ms. Suraiya Begum, ndc	Director	11-Apr-15	11-Apr-15	Appointed & Continuing....
9	Mr. Nazimuddin Chowdhury	Director	14-Jan-16	14-Jan-16	Appointed & Continuing....

9. Board Meeting and Attendance

During the year of 2015, 13 nos., of Board Meetings were held. The attendances of the meetings are as follows:

Directors	No of Meeting	No of attendance	% of presence	No of absence	Absence in meeting of
Mr. Mahbub Ahmed	13	13	100%	0	-
Mr. Abul Kalam Azad	4	4	100%	0	-
Ms. Suraiya Begum, ndc	11	9	82%	2	24th & 26th
Mr. Monowar Islam,ndc	13	10	77%	3	22nd, 26th & 30th
Mr. M. A. N. Siddique	13	13	100%	0	-
Khandker Anwarul Islam	13	11	85%	2	23rd & 24th
Mr. Md. Abubakar Siddique	13	8	62%	5	27th, 28th, 31st, 32nd & 33rd
Mr. A.R.M Nazmus Sakib	13	12	92%	1	29th
Mr. Md. Atiquzzaman	1	1	100%	0	-
Mr. S.M. Formanul Islam	12	12	100%	0	-

Attendance in meeting during the year of 2016 (as of July 2016):

Directors	No of Meeting	No of attendance	% of presence	No of absence	Absence in meeting of
Mr. Mahbub Ahmed	7	7	100%	0	-
Ms. Suraiya Begum, ndc	7	7	100%	0	-
Mr. Monowar Islam,ndc	7	5	60%	2	34th & 38th
Mr. M. A. N. Siddique	7	6	80%	1	34th
Khandker Anwarul Islam	7	7	100%	0	-
Mr. Nazimuddin Chowdhury	7	7	100%	0	-
Mr. A.R.M Nazmus Sakib	7	6	80%	1	37th
Mr. S.M. Formanul Islam	7	7	100%	0	-

10. Directors Rotation in the 5th Annual General Meeting

In the order of the date of nomination / re-election

SL	Name of Directors	Designation	Date of nomination / re-election
1	Mr. Monowar Islam,ndc	Director	14-Sep-14
2	Khandker Anwarul Islam	Director	14-Sep-14
3	Mr. M. A. N. Siddique	Director	14-Sep-14

11. Board Committees

The Board of Directors constituted two (02) committees i.e. the Executive Committee and the Audit Committee as sub-committees of the Board consisting different Board members vide Board Meeting dated on 19 August, 2014.The Board also noted formation of different committees like Management Committee, Risk Management Forum, Core Risk Committee, Purchase Committee, and Tender Evaluation Committee etc.

12. Appointment of External Auditors

The Shareholders in its 4th Annual General Meeting (AGM) held on 12 September 2015 appointed M/s. S. F. Ahmed & Co., (SFACO) Chartered Accountants for the year-2015. Accordingly, they have conducted the audit works and submitted the draft audited accounts and the management report for the year- 2015.

SFACO will retire in the upcoming 5th AGM. They were appointed as the auditor for the last 2 years i.e. 2014 and 2015. As per the direction of the Bangladesh Bank, FID Circular No- 03, dated on 02-03-1999, an audit firm can be appointed for maximum three (03) consecutive years.

SFACO submitted their expression of Interest (EOI) to be re-appointed for the year 2016.
As recommended by Audit Committee, the Board of Directors in its 39th meeting considered and placed the proposal before the 5th Annual General Meeting for approval of the appointment of M/s. S. F. Ahmed & Co., (SFACO) with remuneration of Tk. 75,000/- (excluding VAT) for the year 2016 till the completion of 6th Annual General Meeting.

13. Regulatory Compliance

BIFFL has complied with all rules, regulation of different regulators, such as RJSC, Bangladesh Bank etc. in the year of 2015.

14. Corporate Governance

BIFFL has been trying to follow corporate governance in every aspect of its operation. Besides, the Board emphasizes on transparency, accountabilities, and fairness. A separate detailed report on Corporate Governance is included as a part of the Annual Report.

15. Dividend Declaration

The Board of Directors of BIFFL in its 39th Meeting held on 26 July 2016 recommended the dividend for the year 2015 subject to the approval of the shareholders in the ensuing Annual General Meeting, as follows:

i) Out of the accumulated retained earnings of BDT 84.924 Crore , BDT 12.00 Crore will be provisioned for Cash Dividend to the Government (Finance Division) against the shareholdings;

ii) BDT 70.00 Crore will be provisioned for issuing Bonus Share to increase the Paid up Capital of BIFFL and

iii) The Balance Amount of BDT 2.92 Crore to be carried forward in the following year.

Under section 184 of the Companies Acts, 1994 and BSEC Corporate Governance Guidelines we report that:

1. The Financial Statements prepared by the Management of the company presents the Company's State of Affairs, Cash Flows, and Changes in Equity;
2. Proper Books of Accounts of the Company are maintained;
3. Appropriate Accounting Policies have been consistently applied in preparation of the Financial Statements and the accounting estimates are based on the reasonable and prudent judgment;
4. International Accounting Standard (IAS), as applicable in Bangladesh, has been followed in preparation of the Financial Statements and any departure there has been adequately disclosed;
5. The system of financial control is sound in design and has been effectively implemented and monitored;
6. There is no significant doubt upon the company's ability to continue as Going Concern;
7. The key operating and financial data for the last 05 years at a glance is given.
8. The Board has recommended dividend for the year 2015
9. During the year of 2015, 13 nos., of Meetings were held and the Directors have served the Board with their position;
10. The pattern of the share holdings of BIFFL is fully owned by the Govt. as on 31st Dec 2015.

Acknowledgement

The Board of Directors of BIFFL would like to take this opportunity to express their heartfelt thanks to all the shareholders and stakeholders including the regulatory bodies, auditors, client & customers, banks and financial institutions, employees and business associates for their immense support and contribution towards the success of the Company. The Board believes that BIFFL will be able to play significant role in the country's economy by contributing towards infrastructure development through sustainable long-term financing.

On behalf of the Board of Directors,

Mahbub Ahmed
Chairman

STATEMENT OF RISK MANAGEMENT

BIFFL believes that effective risk management of primary importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate, and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in—and the risks those activities generate—must be consistent with BIFFL's underlying commitment to the principles of, and in line with, BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the company will operate, including capital strength and earning power. In BIFFLL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized, and if possible, eliminated to protect the capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy. BIFFL evaluates and rewards employees with specific consideration to their risk behaviors, including transparency, communication, and escalation of concerns.

A well-structured and proactive risk management system is in place within BIFFL to address the risks relating to Credit, Market, Liquidity, and Operation. BIFFL has different committees for risk management, and internal control measures are also in place to mitigate the risk. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices. In addition, to follow the industry best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as per guideline of the Managing Core Risk of Financial Institutions issued by the Bangladesh Bank from time to time.

Credit Risk

Credit risk is one of the most significant risks BIFFL faces as an institution. As a result, BIFFL has a well established framework in place for managing credit risk across all the businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level, as well as company level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including "watch lists," portfolio review, updated risk ratings, and classification triggers. Credit Risk Management, as one of the core risks, is designed and regularly updated to identify, measure, manage, and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed and appropriate due diligence are carried out in appraising and subsequent approving of new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk management as it helps BIFFL understand various dimensions of the risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities. The Risk Management Committee is responsible to review the credit rating of the borrower annually.

At BIFFL, we assesss the following risks:

- Default Risk
- Credit Concentration Risk
- Recovery Risk
- Country Risk
- Political Risk
- Counter Party Risk
- Related Party Risk
- Security Risk
- Social & Environmental Risk
- Currency Risk

Credit Approval Process

The BIFFL Board of Directors has the overall responsibility for management of risks. The Board adopts the risk management policies of BIFFL. The Credit Committee is a subcommittee including CEO and senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The Credit Risk Management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the Credit Committee. Nevertheless, the credit proposal is clearly stated that all instructions and guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now divided into two stages depending on the size of the loan, which are Executive Committee and/or BIFFL Board. The Executive Committee (EC) is a committee including the CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of the Credit Committee. The Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.

Flow Chart: Credit Approval Process

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the Board of Directors of BIFFL to overcome any adverse impact on the BIFFL's return. According to risk return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenor of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a -vis the world.

Market Risk

Market risk encompasses funding and liquidity risk, interest rate risk, and price risk. Each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury Unit of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk

Adequate liquidity and sources of funding are essential to BIFFL's businesses. Funding and liquidity risks arise from several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings, political and economic conditions in certain countries.

BIFFL has no exposure in the Capital Market and therefore, it is not exposed to any market risk related to the securities, but exposed to interest rate risk. The Treasury Unit, in collaboration with accounts and Finance Division, manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market, there is no adverse maturity gap in terms of its assets and liabilities. But it is exposed to liquidity risk of converting its fixed deposit into cash at reasonable price on time. The Treasury Unit manages the liquidity risk with oversight of the Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL.

Operational Risk

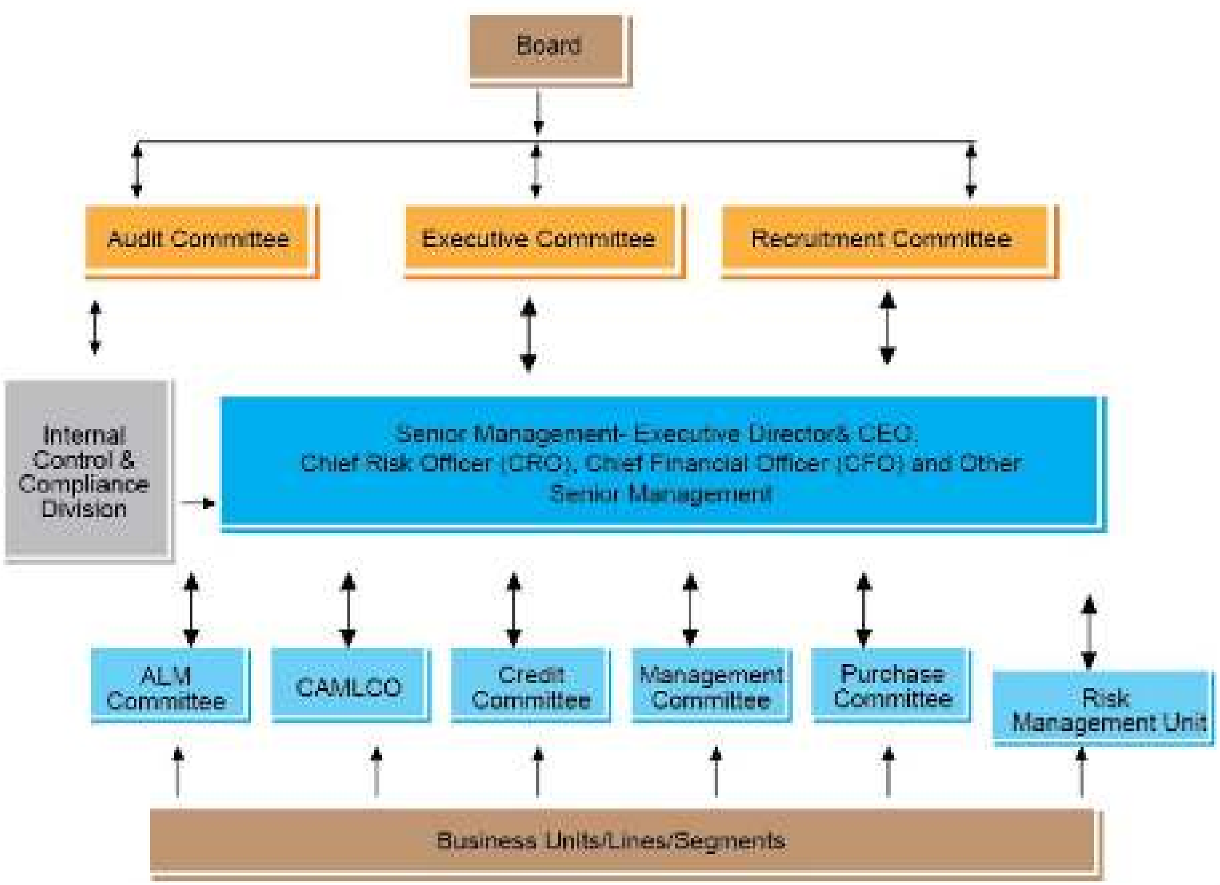
Operational risk may cause potential loss arising from the failure of company's systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, and delay to perform. Operational risk may also arise from the following factors:

- Shortcomings of organizational structure
- Turnover of trained employees
- Leakage of sensitive information
- IT Security
- Money laundering and terrorist financing
- Changes in statutory requirements
- Changes of Govt. law
- Technological obsolescence

BIFFL risk management Structure

Risk management procedures are approved, monitored, and mitigated at various stages with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Division, and Risk Management Unit. The hierarchy of the BIFFL risk management infrastructure is as follows:

BIFFL RISK MANAGEMENT STRUCTURE



Board of Directors

The Board oversees and approves all major risk management policies and parameters taking into account the market condition, regulatory requirements, and lessons learned in the past. While setting policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations while protecting against downside risk from potential loss or foregone income and to protect interest of the shareholders.

Executive Committee (EC) of the Board

The Executive Committee of the Board is responsible to oversee that the management and its committees are operating within the approved limits and authorities and that all major risks are managed & mitigated effectively and potential and actual losses arising from the risks are within the acceptable limits. EC also approves all credit proposals except the large loan proposals, administrative proposals, and major purchases as recommended by the Credit Committee, Management Committee, and Purchase Committee, respectively.

Audit Committee of the Board

Audit Committee independently monitors all activities involving credit risks, operational risks, and market risks through Internal Control & Compliance Division (IC&CD) of BIFFL. Risk based audit plan for IC&CD is approved by the Committee and its implementation is monitored on a regular basis to ensure that all risk factors are adequately addressed and any deviation is quickly corrected to ensure sustainable operation of BIFFL.

BIFFL risk management Framework

BIFFL aspires to be a highly dedicated Financial Institution of Bangladesh in a professional manner by adopting the internationally accepted best practices keeping the ethical values high and maintaining transparency in all the activities in order to promote Country's sustainable economic development by facilitating and encouraging Private Sector Investment in all the infrastructural projects. BIFFL believes in sustainable growth which is ensured through appropriate trade-off between risk and return.

Risk Identification, Assessment and Analysis

Risk analysis unit identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness, and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper on monthly basis and conduct periodic Stress Testing.

In addition, the Credit Risk Management Committee (CRMC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to counter associated risks. CRMC reviews the Due Diligence of the individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the project which is to be financed.

An independent Credit Risk Management (CRM) Department is in place at BIFFL to check all the compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify the risks involved in financing individual project. This is done at BIFFL at the pre-sanction and post-sanction stage of loan. This assists the management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL requires credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating Agency approved by Bangladesh Bank. This report is scrutinized by the CRM and the CRMC to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL has established Internal Control and Compliance Division (IC & CD) to address operational risk. IC & CD ensures that an appropriate framework exists to identify, assess and manage operational risk in line with the company policy.

The Asset Liability Management Committee (ALCO) of the Company regularly meets to assess the prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control interest rate risk.

Risk Reporting and Communication

After assessment of risks inherent at different divisions of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum-RMF (consisting of top management of BIFFL).

Plan Actions

RMF recommends some specific action plans for mitigating the indentified risks to be implemented by the head of different divisions with a given timeline. Furthermore, risks are properly communicated to the Board of Directors by the Board Audit Committee.

Implementation of Plan Actions

In line with guideline of Bangladesh Bank for comprehensive risk management of the company, the Risk Management Division has been carrying out the following activities:

a) all regulatory compliances related with Basel II
b) all regulatory compliances related with Stress Testing
c) all regulatory compliances related with CAMELS Rating of Bangladesh Bank
d) all regulatory compliances related with comprehensive Risk Management Rating including preparation of Risk Management Paper in line with the Bangladesh Bank's reporting format and informing the Board/ Risk Management Committee about major findings of Risk Management Paper for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed and that appropriate controls and responses are in place. Board Audit Committee and IC & CD are to carry out regular audits of policy and standards, compliances and standard performance is reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

Disclosure

Capital Adequacy Ratio

Minimum Capital Requirement (MCR) under prudential Guidelines on Capital Adequacy and market Discipline for Financial Institutions (CAMD) is as follows:

TABLE A

(In BDT Crore)

SL.#	Particulars	2015
A	Eligible Capital (Table B)	
1	Tier -1 Capital	2,133.65
2	Tier-2 Capital	4.35
3	Total Eligible Capital	2,138.00
B	Total Risk Weighted Asset (Table C)	1,776.76
C	Capital adequacy Ratio (CAR) (A1/B)*100	120.33
D	Core Capital to RWA (A1/B)*100	120.09
E	Supplementary Capital to RWA (A2/B)*100	0.24
F	Minimum Capital Requirement (MCR)	177.68

Eligible Capital

TABLE B **(In BDT Crore)**

SL.#	Particulars	2015
1	Tier 1 (Core Capital)	
1.1	Fully Paid up Capital/Capital Lien with BB	1,940
1.2	Statutory Reserve	109
1.3	Retained Earnings	85
1.4	Minority Interest in Subsidiaries	-
1.5	Sub -Total (101 to 1.4)	2,134
1.6	Deduction from Tier-A (Core Capital)	-
1.7	Total Eligible Tier 1 Capital (1.5-1.6)	2,134
2	Tier 2 (Supplementary Capital)	
2.1	General Provision	4.35
2.2	Asset Revaluation Reserve up to 50%	-
2.3	Sub Total (2.1 to 2.2)	4.35
2.4	Deduction if any	-
2.5	Total Eligible Tier-2 capital (2.3-2.4)	4.35

Risk Weighted Asset

TABLE C

(In BDT Crore)

SL.#	Particulars	2015
1	Credit Risk	1,418.26
1.1	On Balance Sheet	1,418.26
1.2	Off Balance Sheet	-
1.3	Market Risk	-
1.4	Operational Risk	358.50
1.5	Total Risk Weighted Asset	1,776.76

Stress testing process

Stress test, in financial terminology, is an analysis or simulation designed to determine the ability of a given financial instrument or financial institution to deal with an economic crisis. Instead of doing financial projection on a "best estimate' basis, a company or its regulators may do stress testing where they look at how robust a financial instrument is in certain crashes, a form of scenario analysis.

Stress-test rating scale of 1 to 5 and zone positioning (green, yellow and red) through Weighted Average Resilience (WAR) and Weighted Insolvency Ratio (WIR) matrix has been introduced.

Rating Scale	Zone	
Number 1	Green zone	Better
Number 2	Yellow zones	Good
Number 3	Yellow zones	Good
Number 4	Red zone	Bad
Number 5	Red zone	Bad

BIFFL is still continuing as Rated Number 1 as well as being in Green Zone as per Bangladesh Bank Stress Testing.

SUSTAINABILITY

Value Added Statement

Value Added Statement is a financial statement that depicts wealth created by an organization and how is that wealth distributed among various stakeholders. The various stakeholders comprise of the employees, shareholders, government, creditors and the wealth that is retained in the business.

BIFFL contributes positively to socioeconomic development by empowering employees through the payment of salaries and allowances, by paying attractive and consistent dividend to the providers of the capital, by assisting the regulatory capacities through paying taxes and keeping in mind the company's continuous expansion and growth.

(Figures in BDT Crore)

Value added	**2015**	**2014**
Net interest income	16.51	6.39
Fees earned	0.74	0.44
Investment Income	-	-
Other Income	167.73	269.40
Management Expenses	4.15	3.27
Total value Added by BIFFL	191.64	279.5
Value addition contributed to:		
Employees:		
As salaries and Allowance	1.39	1.79
Government:		
Corporate Tax	76.54	129.67
To Expansion and Growth:		
Retained Earnings	80.18	69.20
Depreciation	0.16	0.25

GREEN BANKING

We want to build a better Bangladesh, but not foregoing our beautiful nature. We want to keep this earth green, and BIFFL is committed to play a responsible role through financing in the environment-saving projects. It has a dedicated investment unit - the 'Sustainable Finance Unit - functional since 2014 to take care of that commitment. It has five focused areas for investing:

1. Auto (Green) Bricks
2. Utility-scale Solar Power
3. Green Building
4. Energy Efficient Technologies
5. Waste Treatment & Recycling

This department is currently offering these services to the prospective borrower:

1. Advisory Services

2. Project Finance :

a. Providing Market Rate-based Debt Products like:

i. Term Loan

ii. Working Capital Loan

iii. Bond

b. Providing Concessionary Rate-based Debt Products like (not more than 9%):

i. Term Loan

ii. Working Capital Loan

3. Loan Syndication (only on 'Best efforts-basis')

BIFFL offers soft loans from 3 different refinance schemes:

1. Renewable Energy & Environment Friendly Financeable Sector Refinance Scheme

- Main Sponsor: Bangladesh Bank
- Fund Amount: BDT 200 crore
- Interest Rate: 9%
- Amount Per Project: BDT 1.00 crore ~ BDT 30.00 crore
- Products: 47 Products (Featured Areas: Solar Energy, Bio Gas, Wind Energy, Waste Treatment & Recycling, Energy Efficiency, Green Building, Auto Bricks)

2. Financing Brick Kiln Efficiency Improvement Project

- Main Sponsor: Asian Development Bank / Bangladesh Bank
- Fund Amount: USD 50 mn
- Interest Rate: 9%
- Amount per Project: 50% of Project Cost
- Products: Tunnel Kiln-based Auto Bricks only

3. Energy Efficiency and Conservation Promotion Financing Project

- Main Sponsor: Japan International Cooperation Agency (JICA)
- Fund Amount: USD 120 mn
- Amount Per Project: Negotiable
- Interest Rate: 4%
- Featured Areas: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telco Industry, Green Building, Home Appliances

The highlights of the department in 2015 can be listed like this:

1. **Investing in the first Auto Brick Project:** BIFFL has invested BDT 6 million in the Zigzag Kiln-based Auto Brick manufacturing plant of ARB Enterprise which has a capacity of producing 30,000 bricks/day. It is situated in Dhamrai, Dhaka. We have also availed refinancing from the Bangladesh Bank for this project.

2. **BIFFL has sponsored two (02) Green Events:**

   a. 6th National Nature Festival 2015, 9-10 Oct, Organized by: Notre Dame Nature Study Club, Notre Dame College.

b. 'Safe Future Now' Summit on Power and Energy in Bangladesh, 13 Oct, Organized by: Tuv Sud Bangladesh & DCCI

3. **Supporting Employee Training, Consumer Awareness and Green Event:** BIFFL has provided green finance trainings to its 3 officials in 4 different programs in FY 2015.

4. **Sector Specific Environmental Policies:** Strategies are being formulated to design specific policies for different environmental sensitive sectors.

5. **Green Strategic Planning:** BIFFL is working on to set green financing targets to be attained through strategic planning.

CORPORATE SOCIAL RESPONSIBILITY

The CSR mainstreaming campaign in Bangladesh's financial sector has enthused all banks and financial institutions into a broad range of direct and indirect CSR engagements including humanitarian relief and disaster response, widening of advancement opportunities for disadvantaged population segments with support in areas of healthcare, education and training, greening initiatives, environmental degradation, and so forth. Direct and indirect budgetary CSR commitments of banks and financial institutions have increased many-fold since 2008.

Substantial further increasing levels of financial involvements in CSR engagements have understandably raised concerns about ensuring allocation of the budgetary resources at an arm's length basis, free of insider interests connected to members of the Board and senior management, as well as proper end use monitoring. Therefore, Bangladesh Bank (BB) has issued Guidelines for allocation and end use monitoring of CSR engagements of the financial sector. These guidelines are intended to cover only the CSR support initiatives in the communities outside the banks and financial institutions not those to do with upgrading of working conditions, health and safety measures, gender fairness etc. for own employees that are covered by relevant labor laws and regulations.

BB's Green Banking & CSR department and its Off-site and On-site supervision departments will keep track of adherence of financial institutions to these guidelines, as a part of routine assessments of their quality of governance and internal controls. Being a financial Institution, BIFFL has allocated funds for CSR activities and has taken initiatives in line with the guidance of Bangladesh Bank.

BIFFL believes that in today's market place, a well-organized and well executed CSR activities are critical factors in driving business improvement, branding, customer loyalty and employee retention. Since BIFFL considers CSR activities as a successful marketing effort therefore, it pays close attention to the CSR trend. BIFFL has taken the following CSR Initiatives:

Support for winter affected people through Prime Minister's Relief and Welfare Fund:

Almost every year Bangladesh experiences severe cold waves accompanied by cold-related diseases especially in northern districts of the sub-Himalayan regions of Bangladesh. The homeless, older people and infants are the most affected. To help these winter affected people BIFFL donated BDT 10,00,000 to the Prime Minister's Relief and Welfare Fund under its CSR program. Mr. S.M. Formanul Islam, Executive Director & CEO, BIFFL handed over the cheque to Mr. Abul Kalam Azad, Principal Secretary, Prime Minister's Office in November, 2015.

Public Awareness

A weak National Integrity Strategy (NIS) followed by wide gap of practice and implementation compared to legal provisions and institutional capacity is undermining the prospect of governance, and nourishing corruption. Corruption poses a serious governance, corporate and development challenge all over the world. In general, corruption erodes the institutional capacity of governments and ruins democratic values, discourages investment, undermines fair competition, increases business operational costs, discards corporate reputation, diverts essential public resources away from their rational uses and damages development efforts which all together impose direct costs on society and enhance the sufferings of the mass-people. Apart from this, in today's world, there are crucial links between corruption and human rights violation, poverty, exclusion, environmental degradation, vulnerability and conflict. The present government of Bangladesh took it seriously as part of implementation of its election pledge since it came into the power in 2009, and accordingly stressed back to the concern to collectively fight corruption and fix it firmly on the agenda of policy makers in state and non-state institutions so as to create avenues for overcoming the barriers. The Government approved the National Integrity Strategy (NIS) in October 2012 through a process of wide-ranging stakeholder consultations. NIS has a comprehensive set of goals, strategies and action plans aimed at increasing the level of independence, accountability, efficiency, transparency and effectiveness of state and non-state institutions for improving governance and reducing corruption in a holistic manner.

Considering National Integrity Strategy, BIFFL has taken initiatives to create public awareness to ensure NIS by setting up a billboard costing of BDT 5,70,000 per year, located at Jatrabari adjacent to the Mayor Hanif flyover.

Sectoral Contribution:

The way CSR is understood and implemented differs greatly for each company and for each country. Since CSR in the healthcare sector has not received systematic attention in our country, CSR contributions in this sector are minimal. BIFFL has contributed BDT 60,000 in the year of 2015 under healthcare sector.

Human Resource

Effective human resource management has proven to be a critical component in the success of a business. BIFFL is focused on recruiting the best resources and implementing programs to develop and retain high quality human resources.

Our resources are precious to us. Effective human resources have also been linked to superior company performance. BIFFL believes that its human resources are critical in building and running the company. Each and every employee is considered, developed, and motivated to contribute optimally towards the achievement of corporate goals. We are dedicated to construct an outstanding service-oriented culture, as well as maintain a strong work-life balance.

Being a new business/ company, we are facing challenges to recruit effective and efficient man power. However, BIFFL's human Resource Department is working continuously works towards attaining the goal of attracting, retaining, growing, and inspiring talent. As a result of this,recently we have recruited 13 new officials in our team in different positions like; Officer, MTO, SO, AVP.

The right people in the right place at the right time while the goal is to provide the best candidate for the Company's needs, it is also important that we place people in the right positions at the right time. BIFFL believes that emphasizing on the efficiency of hiring and staffing processes is a critical factor. Employees are considered for promotion based on the following criteria:

- Growth in the role dimension and complexity
- Individual performance track record
- Attitude and behavior

Developing our people through training employees engaged in their jobs and careers seek to know more about their company and the industry and to learn skills that will improve their performances. Employers who want to harness the full value of their employees and foster loyalty and retention find that training is a winning prospect for all involved. Training programs strengthen knowledge and awareness of leadership. BIFFL recognizes the contribution of training towards enhancing efficiency and profitability. The Company's training policy applies to all the employees and aims at ensuring that appropriate training is imparted to enable individuals to reach a satisfactory performance level. In the year 2015 BIFFL's employees took part in different training programs of renowned institutions. A , a summary of this is given in the following table:

SL.	Name of Training / Workshop	Offering Institution	Duration	No. of Participants
1.	Project Finance	IDCOL	03 days	06
2.	Financial Modeling	IDCOL	03 days	03
3.	Foundation course on Banking	BLFCA	03 days	03
4.	Anti Money Laundering & Combat Terrorist Financing	Bangladesh Bank	01 day	11
5.	Sustainable Energy Overseas training	JICA, Japan	22 days	01

BIFFL is considering the automation of Human Resource Managment. With a growing number of employees efficient HR management is becoming a significant challenge. As such, technology-driven solutions are the need of the moment to bring in place more robust processes to increase efficiency, maximize productivity and ensure precision and security.

BIFFL wants to maintain an ethical standards and considers it to be a key business priority. The management expects employees to fully embrace the statutory compliances. Additionally, BIFFL encourages employees to act with integrity and spread the message of social responsibility to the community.

STATEMENT OF CORPORATE GOVERNANCE

BIFFL is committed to establish its corporate governance structure by adopting, reviewing and complying with all the policies and practices to ensure balanced corporate environment within the organization with maximum accountability and transparency.

Corporate Governance is a governance practice/culture to ensure control over the administration and management procedure. This is done through a collection of procedures that are aligned with recognized standards that respond to the Right & Input interests of shareholders and stakeholders. It ensures fairness, transparency and accountability in the corporate sector and safeguards the interest of all stakeholders as well.

BIFFL is very much cautious about law & regulations imposing time to time by the regulators. A status of Corporate Governance and compliance is given below-

Board of Directors, the highest authority to the organization

The Board of Directors is collectively responsible for proper governance, which includes setting out the Company's strategic aims, providing the necessary leadership to implement such aims, supervising the management of the business and reporting to shareholders on their stewardship. The Board is also responsible to the shareholders for the overall management and performance of the company.

During the year of 2015 and 2016 (as of July) 06 nos. of Meetings were held by the Board of Directors where presence of the members was almost 90%.

Executive Committee as a Board Committee

The Executive Committee is responsible to monitor the overall operations of the Company as a Board Committee. The Committee comprises of -

1. Khandker Anwarul Islam -Chairman;
   Director, BIFFL
2. Mr. Monowar Islam, ndc - Member;
   Director, BIFFL
3. Mr. A.R.M. Nazmus Sakib - Member;
   Director, BIFFL
4. Mr. S.M. Formanul Islam - Member
   Executive Director and CEO, BIFFL
5. Mr. Mohammad M. Khan, ACS - Secretary
   Company Secretary, BIFFL

07 nos. of meetings of the Executive Committee were held in the year of 2015 and 07 meeting in 2016 (as of July) with more than 90% presence of the Members.

Audit Committee as a Board Committee

The Audit Committee is a Board Committee that plays an effective role for establishing an efficient and accountable financial management system as well as the internal Control & Compliance over the functions of the company. The Committee comprises of -

1. Mr. M.A.N Siddique -Chairman;
   Director, BIFFL
2. Mr. Nazimuddin Chowdhury - Member;
   Director, BIFFL
3. Mr. A.R.M. Nazmus Sakib - Member;
   Director, BIFFL
4. Mr. Mohammad M. Khan, ACS - Secretary
   Company Secretary, BIFFL

04 nos. of meetings of the Audit Committee were held in the year of 2015 and 01 meeting in 2016 as of July 2016 with more than 90% presence of the Members.

Management Committee (MANCOM)

BIFFL formed the Management Committee (MANCOM) in order to take decision and supervise the regular functions and operation of the organization in line with various policies adopted by the Board. The committee comprises of –

MANCOM:

1. Mr. S.M. Formanul Islam -Convener;
Executive Director and CEO
2. Mr. Md. Sagir Hossain Khan -Member;
Chief Operating Officer
3. Mr. Mohammad M. Khan, ACS -Member Secretary;
Company Secretary & Head of CCU
4. Mr. Nisarul Kabir Siddiqui - Member.
Unit Head, Treasury

The Committee sits for meeting once a week regularly to make decision and supervise the regular functions and operation of the organization. 27 nos., of meetings of the MANCOM were held in the year of 2015 and 19 meetings in 2016 as of July 2016 with more than 90% presence of the Members.

Asset Liability Management Committee (ALMCO)

In order to manage the Balance Sheet Risk especially for managing of Liquidity Risk and Interest Rate Risk and assist the Management Committee in the decision making process, BIFFL Management formed an Asset Liability Management Committee (ALMCO) with the following members:

1. Mr. S.M. Formanul Islam -Convener
Executive Director and CEO
2. Mr. Md. Sagir Hossain Khan -Member;
Chief Operating Officer
3. Mr. Nisarul Kabir Siddiqui - Member Secretary
Unit Head, Treasury

Risk Management Committee

BIFFL Management formed the "Risk Management Forum" and "Risk Analysis Unit" as guided by the Bangladesh Bank consisting of the following officials, presently available as per approved organogram.

Risk Management Forum (RMF)

1. Mr. Mohammad Sagir Hossain Khan - Convener (Representing CRO & Head of Credit)
Chief Operating Officer
2. Mr. Mohammad M. Khan, ACS - Member (Representing Company Affairs / Operations)
Company Secretary & Head of CCU
3. Mr. Md. Nisarul Kabir Siddiqui - Member (Representing Accounts & Finance)
Unit Head, Treasury
4. Mr. Md. Mohabul Alam - Member Secretary (Representing IT & MIS)
Unit Head, IT & MIS

Risk Analysis Unit (RAU)

The RAU will consists of the following officials:

1) Mr. Sheikh Anowar Sadat - Member
Unit Head, Large Infrastructure
2) Mr. Md. Mizanur Rahman - Member Secretary
Unit Head, Credit Administration
3) Mr. Md. Saddam Hossain - Member
Unit Head, Sustainable Finance
4) Ms. Rajina Rashid - Member
Unit Head, Women Entrepreneur

Central Compliance Unit (CCU)

Pursuant to the Directions and Guidelines of Bangladesh Bank, BIFFL formed the Central Compliance Unit (CCU) of the organization. The CCU is responsible to monitor, supervise and follow up the entire compliance issues of the organization including the compliance of Anti-Money Laundering and Terrorist Financing under the policy of Anti-Money Laundering and Combat Terrorist Financing as approved by the BIFFL Board.

The Company Secretary acts as the Head of CCU and Chief Anti-Money Laundering Compliance Officer (CAMLCO) of BIFFL. The committee comprises of -

Central Compliance Unit (CCU):

1. Mr. Mohammad M. Khan, ACS - Head of CCU and CAMLCO;
Company Secretary
2) Mr. Md. Mizanur Rahman - DCAMLCO;
Unit Head, Credit Administration
3. Ms. Tasnima Nur, ACA -Member;
Unit Head (ICC)
4. Mr. Mohabul Alam -Member;
Unit Head, IT & MIS
5. Ms. Rajina Rashid -Member Secretary
Unit Head, Women Entrepreneur

Integrity and Ethics Committee

As per the Directions and Guidelines of Bangladesh Bank, BIFFL formed the Integrity and Ethics Committee in order to develop the integrity and ethical standard among the employees of the organization. The Committee as a part of implementation of Integrity Strategy in the organization set a 'Complain Box' through which all the employees and staffs are encouraged to address their issues and put the opinions. The committee also reports to Bangladesh Bank regularly as guided. The committee comprises of-

1. Mr. Md. Sagir Hossain Khan - Chairman
Chief Operating Officer
2. Mr. Mohammad M. Khan, ACS -Focal Point
Company Secretary & Head of CCU
3. Mr. Nisarul kabir Siddiqui - Member
Unit Head, Treasury
4. Mr. Mohabul Alam - Member Secretary
Unit Head, IT & MIS

The Committee sits for meeting once a month regularly and report to Bangladesh Financial Intelligence Unit (BFIU) of Bangladesh Bank.

Recruitment Committee

As per instruction of the BIFFL Board and subsequent nomination from the Ministry of Public Administration and Bangladesh Bank, a Committee was formed with the following members:

1) Mr. A. R. M. Nazmus Sakib - Convener
Additional Secretary, Finance Division, MoF and Director of BIFFL Board.
2) Mrs. Ummul Hasna - Member
Additional Secretary, Ministry of Public Administration
3) Mr. Md. Faruque Hossain - Member
Additional Secretary & DG of CPTU
4) Mr. Md. Shah Alam - Member
General Manager
Department of Financial institutions & Markets, Bangladesh Bank.
5) Mr. S.M. Formanul Islam - Member
Executive Director & CEO, BIFFL

Green Banking Unit

1) Mr. Mohammad Sagir Hossain Khan - Convener
Chief Operating Officer
2) Mr. Sheikh Anowar Sadat - Member
Unit Head, Large Infrastructure
3) Mr. Shafiqul Islam Pradhan - Member
Unit Head (Credit Technical)
4) Ms. Rabeya Rahman - Member
Officer (A&F)
5) Mr. Md. Mohabul Alam - Member
Unit Head, IT & MIS
6) Mr. Md. Saddam Hossain - Member Secretary
Unit Head, Sustainable Finance

REGULATORS OF BIFFL

BANGLADESH BANK
Central Bank of Bangladesh

Returns & reporting to Bangladesh Bank

Daily Reporting

Sl. #	Return/Statement	Submission	Complied or not (Y/N)
	Daily Reporting		
1	Call Money Transaction Report	End of the day	N/A
	Monthly Reporting		
2	CRR & SLR	7 days	Y
3	Interbank Transaction	3 working days	Y
4	Liquidity Profile	7 working days	Y
5	CDLC Reporting	1 Month	Y
6	Reschedule of Loan/Lease	10 working days	Y
7	Loan/Lease Write off Statement	10 working days	Y
8	Integrated Supervision System	7 Days	Y
9	Risk Management Paper	1 Month	Y
10	CIB	20 Days	Y
11	Anti-Money Laundering Complaints	3 Working days	Y
12	Anti-Money Laundering Complaints Resolved	3 Working days	Y
13	CTR & STR	3 Working days	Y
	Quarterly Reporting		
14	CAMD Statement	1 Month	Y
15	Stress Testing Report	1 Month	Y
16	CMSME Statement	15 Days	Y
17	Director's Information	15 Days	Y
18	Director's Loan/Lease	15 Days	Y
19	Execution of Bangla language	15 Days	Y
20	Industrial Loan & Advances	1 Month	Y
21	Interest Rate on Deposit and Lending	7 Days	Y
22	Large Loan/Lease	15 Days	Y
23	Loan/Lease Classification & Provisioning	1 Month	Y
24	Recovery of Loan/Lease/Business activity	15 Days	Y
25	Sector Wise Loan/LeaseTop-10 Default Borrower	1 Month	Y
26	Top-10 Default Borrower	1 Month	Y
27	Writ/Case related Reporting	15 Days	Y
28	Progress on Green Finance	15 Days	Y
29	Statement on Green Banking	15 Days	Y

Sl. #	Return/Statement	Submission	Complied or not (Y/N)
	Half Yearly Reporting		
30	Court Cases	January 31 & July 31	
31	CSR Initiatives	January 31 & July 31	
32	CSR Performance Reporting on Gender Equality Issues	January 31 & July 31	Y
33	Fees/Charges/Commission	January 31 & July 31	Y
34	Net Asset Statement	January 25 & July 25	Y
	Yearly Reporting		
35	Annual Report	3 Months	Y
36	Diagnostic Review Report	1 Month from audited financial statements	Y
37	Half-Yearly Report	1 Month	Y
38	Management Report	4 Months	Y
	Others		
39	Audit Committee Report	7th of next month	Y
40	BASEL		
41	CAMELS Rating		Y
42	Minutes of Boards and Executive Committee Audit Committee	within 05 working days of the meetting	

Government of the People's Republic of Bangladesh
Office of the

Registrar of Joint Stock Companies and Firms

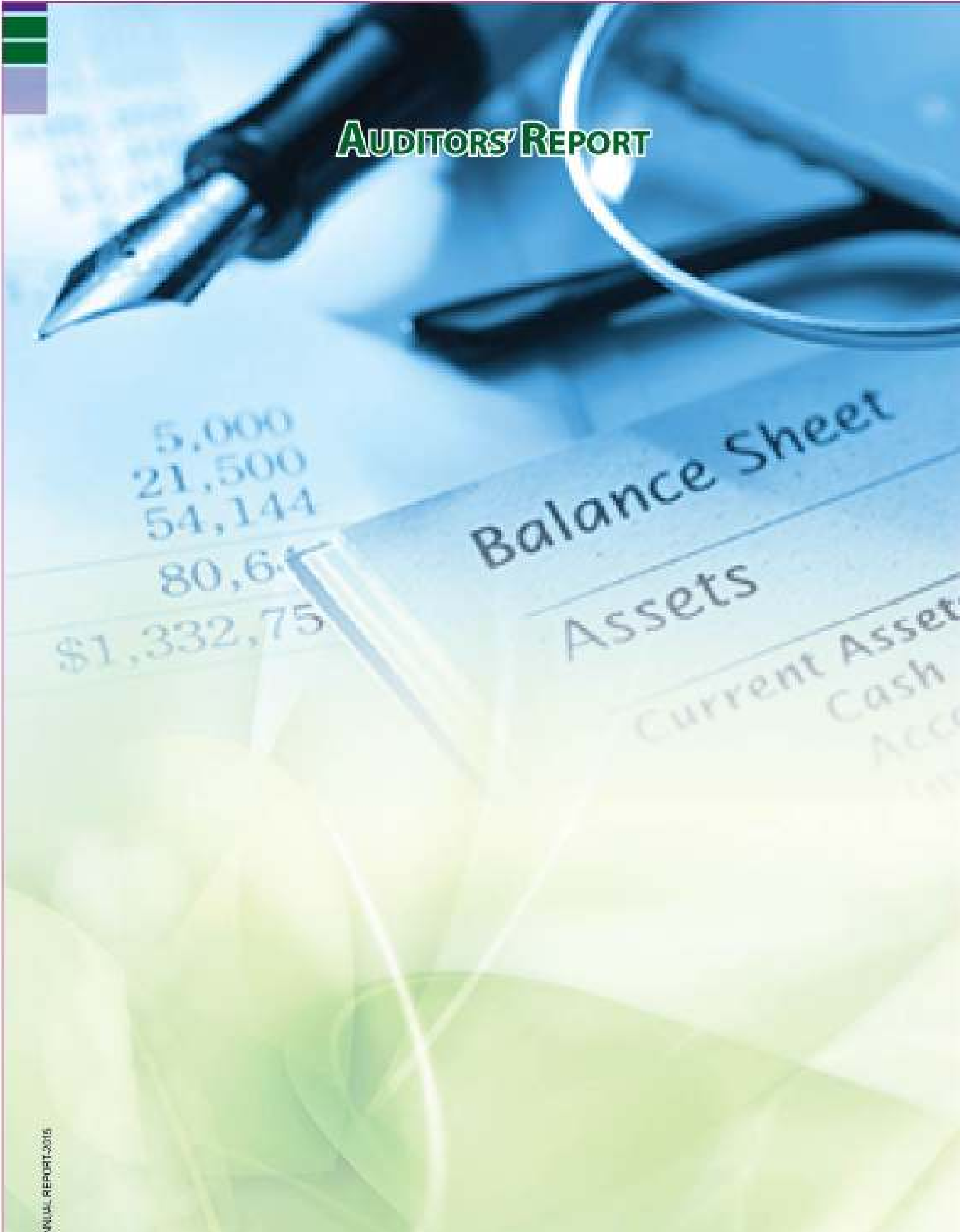
a. Annual Returns

i. Schedule X - Annual summary of share capital and list of shareholders, Directors : to be filed within 21 days of AGM [Section 36].
ii. Balance Sheet : to be filed within 30 days of AGM.
iii. Profit & Loss Account: to be filed within 30 days of AGM
iv. Form 23b and Notice by Auditor : to be filed within 30 days of receiving appointment information from the company [Section 210 (2)],
v. Filled in Form IX - Consent of Director to act : to be filed within 30 days of appointment [Section 92]
vi. Filled in Form XII - Particulars of the Directors, Manager and Managing Agents and of any change therein : to be filed within 14 days from the date of appointment or change [Section 115],

b. Returns for Change

i. Filled in Form III - Notice of consolidation, division, subdivision or conversion into stock of shares : to be filed within 15 days of consolidation and division etc. [Section 53 & 54].
ii. Filled in Form IV - Notice of increase share capital : to be filed within 15 days of increase of share capital/member [Section 56].
iii. Filled in Form VI - Notice of situation of Registered Office and of any change therein : to be filed within 28 days of establishment or change [Section 77].
iv. Filled in Form VII Statutory report: to be filed after sending copy of the statutory report to the members not less than 21 days before meeting [Section 83].
v. Filled in Form VIII Special Resolution/ Extraordinary Resolution including name change, conversion into private company, alteration of the memorandum of association, alteration of articles of association etc.: to be filed within 15 days of the meeting [Section 88 (1)].
vi. Filled in Form IX - Consent of Director to act : to be filed within 30 days of appointment [Section 92].
vii. Filled in Form XII - Particulars of the Directors, Manager and Managing Agents and of any change therein: to be filed within 14 days from the date of appointment or change [Section 115).
viii. Filled in Form XV - Return of allotment : to be filed within 60 days of allotment [Section 151].
ix. Filled in Form XVIII - Particulars of mortgages or charges : to be filed within 21 days of creation of the mortgage or charge [Section 159 & 391].
x. Filled in Form XIX - Particulars of Modification of Mortgage or Charge : to be filed within 21 days of modification [Section 167(3) & 319].
xi. Filled in Form XXVIII - Memorandum of satisfaction of mortgage charge : to be filed within 21 days of satisfaction [Section 12 & 391]
xii. Filled in Form 117 - Instrument of Transfer of Share.
xiii. Prospectus for issue of shares : to be filed at least 3 days before the 1st allotment of share or debenture [Section 141].
xiv. Prospectus following conversion of Private company into Public company [Section 231].
xv. Digital copy of original Memorandum & Articles of Association

Auditors' Report



S F AHMED & CO.
CHARTERED ACCOUNTANTS
...Since 1958

House 51 (2nd floor), Road 9, Block F, Banani, Dhaka 1213, Bangladesh

Telephone: (88-02)9894346, 9870957, 9894026, 09610998048
Fax: (88-02) 9845135
E-mail: sfaco@dhaka.net
sfali@connectbd.com
ahmeds@bol-online.com

AUDITORS' REPORT TO THE SHAREHOLDERS OF BANGLADESH INFRASTRUCTURE FINANCE FUND LIMITED (BIFFL)

Report on the Financial Statements

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Limited (BIFFL) which comprise the statement of financial position (Balance Sheet) as at 31 December 2015 and the statement of comprehensive income (Profit & Loss Account), statements of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements of the company in accordance with Bangladesh Financial Reporting Standards (BFRS), Financial Institutions Act 1993, the rules and regulations issued by the Bangladesh Bank, the Companies Act 1994, the Securities and Exchanges Rules 1987 and other applicable laws and regulations. This responsibility includes designing, implementing, and maintaining internal control relevant to the preparation and fair presentation of these financial statement of the company that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements of the company based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements of the company are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements of the company. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the company, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements of the company in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements of the company.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

S.F. AHMED & CO.

Opinion:

In our opinion, the financial statements of the company prepared in accordance with Bangladesh Financial Reporting Standards(BFRSs), give a true and fair view of the state of the Financial Position of the company as at 31 December 2015 and of the results of its financial performance and statement of cash flows for the year then ended and comply with the Financial Institutions Act 1993, The Companies Act 1994, the rules and regulations issued by the Bangladesh Bank, the Securities and Exchanges Rules 1987 and other applicable laws and regulations.

Report on Other Legal and Regulatory Requirements:

In accordance with companies Act 1994, Securities and Exchange Rules 1987, the Financial Institutions Act 1993 as amended in 2013 and the rules and regulations issued by Bangladesh Bank, we also report the following:

(i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;

(ii) in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;

(iii) the statement of financial position (Balance Sheet) and statement of comprehensive income (Profit and Loss Account) together with the annexed notes 1 to 44 dealt with by the report are in agreement with the books of account and returns;

(iv) the expenditure incurred was for the purpose of the company business;

(v) the financial position of the company as at 31 December 2015 and the profit for the year then ended have been properly reflected in the financial statements and the financial statements have been drawn up in conformity with the Financial Institutions Act, 1993 and in accordance with the accounting rules and regulations issued by the Bangladesh Bank;

(vi) the financial statements conform to the prescribed standards set in the accounting regulations issued by the Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;

(vii) adequate provisions have been made for advances and other assets which are, in our opinion doubtful of recovery;

(viii) the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible fraud, forgery and internal policies are being followed appropriately;

(ix) the information and explanations required by us have been received and found satisfactory;

(x) the BIFFL has no branches;

(xi) 80% of the risk-weighted assets have been audited;

(xii) we have spent approximately 520 man hours for the audit of books & accounts of BIFFL.

S.F. AHMED & CO.

Dated, Dhaka;
23 June 2016

S. F. Ahmed & Co.

S.F. Ahmed & Co.
Chartered Accountants

FINANCIAL STATEMENTS

Bangladesh Infrastructure Finance Fund Ltd.
Statement of Financial Position
As at December 31, 2015

	Notes	Amount in Taka 2015	Amount in Taka 2014
PROPERTY AND ASSETS			
Cash	3	**53,013,458**	**47,017,854**
In hand (including foreign currencies)		13,458	17,854
Balance with Bangladesh Bank and its agents (including foreign currencies)		53,000,000	47,000,000
Balance with other banks and financial institutions	4	**17,593,346,444**	**19,904,145,628**
In Bangladesh		17,593,346,444	19,904,145,628
Outside Bangladesh		-	-
Money at call and short notice	5	-	-
Investments	6	-	-
Government		-	-
Others		-	-
Leases, loans and advances	7	4,358,268,450	1,033,064,192
Bills Purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	7,852,057	6,304,420
Other assets	10	2,983,794,652	1,557,002,813
Non-business assets	11	-	-
Total assets		**24,996,275,061**	**22,547,534,907**
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	-	-
Deposits and other accounts	13	-	-
Current deposits		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		748,116,949	-
Other liabilities			
Total Liabilities	14	2,911,536,983	2,113,276,818
Capital / Shareholders' Equity		**3,659,653,932**	**2,113,276,818**
Paid up capital			
Share premium		21,336,621,129	20,434,258,089
Statutory reserve	15	19,400,000,000	16,000,000,000
Other reserve	16	-	-
Retained earnings:	17	1,087,324,226	886,851,618
	18	-	-
Total liabilities and Shareholders' equity	19	849,296,903	3,547,406,471
		24,996,275,061	**22,547,534,907**

OFF-BALANCE SHEET ITEMS :	Notes	Amount in Taka 2015	2014
Contingent liabilities		-	-
Acceptances and endorsements		-	-
Letter of guarantee		-	-
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade and		-	-
related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving		-	-
underwriting facilities		-	-
Undrawn formal standby facilities, credit lines and other commitments		-	-
Others			
Total off-balance sheet items including contingent liabilities			

The annexed notes form an integral part of these financial statements.

Company Secretary | Executive Director & CEO | Director | Chairman

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
23 June 2016

S.F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.
Statements of Comprehensive Income (Profit & Loss Account)
As at December 31, 2015

	Notes	Amount in Taka	
		2015	2014 (restated)
Interest income from leases, loans and advances	21	188,049,291	63,961,291
Interest expenses on borrowings, deposits, etc	22	22,909,751	1,482,452
Net interest income		**165,139,540**	**62,478,839**
Investment income	23	-	-
Commission, exchange and brokerage		-	-
Other operating income	24	**1,677,323,789**	**2,252,624,277**
Total operating income		**1,842,463,329**	**2,315,103,116**
Salary and allowances	25	13,944,949	11,863,677
Rent, taxes, insurance, electricity, etc.	26	4,224,990	429,955
Legal expenses	27	1,112,807	298,139
Postage, stamp, telecommunication, etc.	28	274,763	447,449
Stationery, printing, advertisements, etc.	29	3,416,927	3,551,069
Managing Director's salary and allowances	30	5,593,211	6,082,052
Directors' fees	31	619,957	211,000
Audit fees	32	69,000	57,500
Depreciation and repairs of company's assets	33	5,494,391	5,390,694
Other operating expenses	34	6,744,149	4,375,151
Total operating expenses		**41,495,144**	**32,706,686**
Profit before provision		**1,800,968,185**	**2,282,396,430**
Provision for leases, loans and advances	35	**33,250,490**	**10,330,778**
Total provision		**33,250,490**	**10,330,778**
Total profit before income tax		**1,767,717,695**	**2,272,065,652**
Provision for income tax	36	765,354,655	1,296,719,152
Net profit after Tax & Provision		**1,002,363,040**	**975,346,500**
Appropriations:			
Statutory reserve	17	200,472,608	283,335,685
Retained surplus	19	**801,890,432**	**692,010,815**
Earnings per share	37	**5.17**	**5.03**

The annexed notes form an integral part of these financial statements.

Company Secretary | Executive Director & CEO | Director | Chairman

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
23 June 2016

S.F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.
Statement of Cash Flows
As at December 31, 2015

		Amount in Taka	
		2015	2014
A	**CASH FLOW FROM OPERATING ACTIVITIES:**		
	Interest receipts in cash	188,049,291	63,961,291
	Interest payments in cash	(22,909,751)	(1,482,452)
	Cash payments to employees	(21,619,774)	(17,091,720)
	Cash payments to suppliers	(3,416,927)	(3,998,518)
	Income taxes paid	(1,468,902,697)	(2,026,194,776)
	Receipts from other operating activities	1,850,336,357	2,693,956,201
	Payments for other operating activities	(16,280,175)	(4,952,133)
	Cash generated from operating activities	**505,256,324**	**704,197,893**
	Increase/(decrease) in operating assets and liabilities,		
	Statutory deposits		
	Loans and advances to other banks	-	-
	Loans and advances to other customers	(3,325,204,258)	(1,033,064,192)
	Other assets	(130,894,754)	(418,038,668)
	Borrowings from Bank	748,116,949	-
	Other liabilities	1,109,721	(122,500)
		(2,706,872,342)	**(1,451,225,360)**
	Net Cash from Operating Activities	**(2,201,616,018)**	**(747,027,467)**
B	**CASH FLOW FROM INVESTING ACTIVITIES:**		
	Purchase of property, plant and equipment	(3,187,562)	(1,720,223)
	Net cash used in investing activities	**(3,187,562)**	**(1,720,223)**
C	**CASH FLOW FROM FINANCING ACTIVITIES:**		
	Dividend paid	(100,000,000)	-
	Net cash from financing activities	**(100,000,000)**	-
D	Net increase/(decrease) in cash and cash equivalents (A+B+C)	(2,304,803,580)	(748,747,690)
E	Effects of exchange rate changes on cash and cash equivalents	-	-
F	Cash and cash equivalents at beginning of the year	19,951,163,482	20,699,911,172
G	Cash and cash equivalents at end of the year (D+E+F)	**17,646,359,902**	**19,951,163,482**
	Cash and cash equivalents		
	Cash in hand	13,458	17,854
	Balance with Bangladesh Bank and its agents bank(s)	53,000,000	47,000,000
	Balance with other banks and financial institutions	17,593,346,444	19,904,145,628
		17,646,359,902	**19,951,163,482**

The annexed notes form an integral part of these financial statements.

Company Secretary	Executive Director & CEO	Director	Chairman

Bangladesh Infrastructure Finance Fund Ltd.
Statement of Changes in Equity
For the period ended 31 December 2015

Amount in Taka

Particulars	Paid-up Capital	Statutory Reserve	Retained Earnings	Total
Balance as on 1 January, 2015	16,000,000,000	886,851,618	3,547,406,471	20,434,258,089
Changes in accounting policy	-	-	-	-
Restated balance	**16,000,000,000**	**886,851,618**	**3,547,406,471**	**20,434,258,089**
Surplus/(deficit) on account of revaluation of properties	-	-	-	-
Surplus/(deficit) on account of revaluation of investments	-	-	-	-
Currency translation differeces				
Net gains and losses not recognized in income statementrices	-	-	-	-
Net profit for the year	-	-	1,002,363,040	1,002,363,040
Dividend paid	-	-	(100,000,000)	(100,000,000)
Issue of share capital	3,400,000,000	-	(3,400,000,000)	-
Appropriations made during the year	-	200,472,608	(200,472,608)	-
Balance as on 31 December 2015	**19,400,000,000**	**1,087,324,226**	**849,296,903**	**21,336,621,129**

The annexed notes form an integral part of these financial statements.

Company Secretary | Executive Director & CEO | Director | Chairman

Bangladesh Infrastructure Finance Fund Limited (BIFFL)

Bangladesh Infrastructure Finance Fund Ltd.
Liquidity Statement
Asset and Liability Maturity Analysis
as on 31 December 2015

Amount in Taka

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand (including balance with Bangladesh Bank and its agents)	13,458	-	-	-	53,000,000	53,013,458
Balance with other banks and financial institutions	156,910,982	12,554,233,533	4,882,201,929	-	-	17,593,346,444
Money at call on short notice	-	-	-	-	-	-
Investment	-	-	-	-	-	-
Loans and advances	-	24,964,372	81,028,084	535,157,705	3,717,118,289	4,358,268,450
Fixed assets including land, buildings, furniture and fixtures	-	-	1,177,809	6,674,248	-	7,852,057
Other assets	183,861,696	61,287,232	1,917,683,935	820,961,788	-	2,983,794,652
Non banking assets	-	-	-	-	-	-
Total property & assets	**340,786,136**	**12,640,485,137**	**6,882,091,757**	**1,362,793,742**	**3,770,118,289**	**24,996,275,061**
Liabilities	-	-	-	-	-	-
"Borrowing from Bangladesh Bank, other Deposits	172,066,898	299,246,790	276,803,271			748,116,949
Other accounts	-	-	-	-	-	-
Provision and other liabilities	2,946,525	873,461,095	756,999,616	1,278,129,748	-	2,911,536,983
Total liabilities	**175,013,423**	**1,172,707,875**	**1,033,802,887**	**1,278,129,748**	**-**	**3,659,653,932**
Net liquidity (gap)/excess	**165,772,713**	**11,467,777,262**	**5,848,288,871**	**84,663,994**	**3,770,118,289**	**21,336,621,129**

The annexed notes form an integral part of these financial statements.

Company Secretary

Executive Director & CEO

Director

Chairman

Bangladesh Infrastructure Finance Fund Ltd.
Notes to the Financial Statements
For the year ended December 31, 2015

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act. 1994(ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 19.40 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an Ex-officer Member.

1.02 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for Infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green &

Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards(IAS)/International Financial Reporting Standards (IFRS) so far adopted in Bangladesh as Bangladesh Accounting Standards (BAS)/Bangladesh Financial Reporting Standards(BFRS) by the Institute of Chartered Accountants of Bangladesh, the Financial Institution Act 1993, the Companies Act 1994 and other applicable laws and regulations.

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh bank.

The financial institution has departed from those contradictory requirements of BFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

BFRS:
As per requirements of BAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale' where any change in the fair value at the year-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:
As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

2.01.02 Provision on loans and advances

BFRS:
As per BAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:
As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in BAS 39. As such some disclosure and presentation requirements of BFRS 7 'Financial Instruments: Disclosures' and BAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Financial guarantees

BFRS:
As per BAS 39 financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:
As per the requirements of DFIM circular No. 11 dated December 23, 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

2.01.05 Cash and cash equivalents

BFRS:
Cash and cash equivalents items should be reported as cash item as per BAS 7 'Statement of Cash Flows'.

Bangladesh Bank:
Some cash and cash equivalent items such as 'money at call and on short notice', T-bills, Prize bond are not shown as cash and cash equivalent. Money at call and on short notice is shown as face item in statement of financial position and T-bills, Prize bonds are shown in Investment.

2.01.06 Non business assets

BFRS:
No indication of non-business assets is found in any BFRSs.

Bangladesh Bank:
As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-business asset.

2.01.07 Statement of cash flows

BFRS:
Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:
As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank (CRR)

BFRS:
Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per BAS 7.

Bangladesh Bank:
Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.01.09 Off balance sheet items

BFRS:
There is no concept of off balance sheet items in any BFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:
As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit

BFRS:
There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:
As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Othercomprehensive income

BFRS:
As per BAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:
Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advance net of provision

BFRS:
Loans and advances should be presented as net of provisions.

Bangladesh Bank:
As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The Financial Statements of the Company include the following components:
1. Statement of financial position (Balance Sheet) as at 31 December, 2015.
2. Statement of comprehensive income (Profit and Loss A/C) for the year ended 31 December, 2015.
3. Statement of Cash Flows for the year ended 31 December, 2015.
4. Statement of Changes in Equity for the year ended 31 December, 2015.
5. Liquidity Statement as at 31 December, 2015.
6. Notes to the Financial Statements.

2.03 Use of estimate & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and BFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.03.03 Impairment of Available for Sale Investments

The company review their debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgments as applied on the individual assessment of loans and advances. The company also record impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost.

2.03.04 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.03.05 Fair Value of Property, Plant and Equipment

The Land and Buildings of the company are reflected at fair value. The company engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets.

2.03.6 Useful Life-time of the Property, Plant and Equipment

The company review the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.03.07 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.04 Statement of cash flows

The cash flow statement has been prepared using the Direct Method as mention in line with Bangladesh Accounting standard 7 'Statement of cash flows'.

2.05 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with Bangladesh Accounting Standard 1 'Presentation of Financial Statements' and Bangladesh Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL Ltd. applies the accounting disclosure principles consistently from one period to the next.

2.06 Reporting period

These financial Statements cover one calendar year from 01 January 2015 to 31 December 2015.

2.07 Presentation and functional currencies

The figures of the financial statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.08 Assets and basis of their valuation

2.08.01 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Bangladesh Bank highly liquid financial assets.

2.08.02 Investment in securities

Investment in marketable ordinary shares as well as investment in non-marketable shares have been shown at cost. Full provision for diminution in value of shares has been made as per Bangladesh Bank guidelines. Market value of securities has been determined on the basis of the value of securities at the last trading day of the period (last trading day for the year was 30 December, 2015). Unrealized gain on investment was not recognized as income in the financial statements.

The company has no investment in securities.

2.08.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans and Off-Balance Sheet Items, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances review by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.

a) Interest on loans and advances
Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the year. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances
Provision for loans and advances are made on quarter basis as well as year-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of Provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances
Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of financial position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. These written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.08.04 Property, plant and equipment

2.08.04.1 Owned assets

Own property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per Bangladesh Accounting Standard 16 'Property, Plant and Equipment'.

2.08.04.02 Leased assets

Leasehold assets are accounted for as Finance Lease and capitalized at the inception of the lease at the fair value of the leased property or at the present value of the minimum lease payments, whichever is lower as per Bangladesh Accounting Standard 17 'Leases'. The corresponding obligation under the lease is accounted for as Liability.

2.08.04.03 Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

2.08.04.04 Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged for the full month irrespective of date of acquisition.

Sl. No.	Category of Fixed assets	Rate of Depreciation
1	Land & Land Development	0%
2	Office Building	10%
3	Furniture & Fixtures	10%
4.	Motor Vehicles	20%
5.	Computer	30%
6.	Accounting Software	50%
7.	Electronic & Installation	10%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

2.08.04.05 Impairment of property, plant and equipment

The carrying amount of the assets should be reduced to its recoverable amount when carrying amount of an asset is exceeding the recoverable amount of that asset. That reduction is an impairment loss hence recognized as expenses in the statement of comprehensive income (profit or loss account).

2.08.05 Leases

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

(a) The company as a lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to income statement on a straight-line basis over the period of the lease.

(ii) Finance lease

Leases of assets where the company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in current and non- current borrowings. No assets has acquired by the company as a finance lease.

(b) The company as a lessor

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned. No assets have given by the company as a lease.

2.08.06 Intangible assets

The Company's intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is presented as a separate line item in the statement of comprehensive income (profit and loss account).

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Items of intangible Assets	Estimate useful life
Computer software	3.33 years

2.08.07 Non-current assets held for sale

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale, and the sale is expected to have been completed within one year from the date of classification.

The company has no such asset which held for sale.

2.08.08 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamp. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial asset from another entity.

2.08.09 Non-business assets

Non-business assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.09 Basis for valuation of liabilities and provisions

2.09.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.

b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with Bangladesh Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.09.02 Employees' benefit obligation

Defined contribution plan

he Company started contributory provident fund scheme for its employees as per provident fund rules. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets.

Defined benefit plan

The Company started operating gratuity scheme as per gratuity rules which is administered by the Labour Act 2006.

2.09.03 Write-off

Write-off describes a reduction in recognized value. It refers to recognized or the zero value of an assets. Generally it refers to an investment for which a return on the investment is now impossible or unlikely. The items potential returns is thus calculated and removed (written-off) from the business balance sheet.

2.10 Capital and shareholders' equity

2.10.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholder with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measure and internal matrix.

2.10.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.10.03 Statutory reserve

As per the Financial Institution Regulations 1994 it is required for the company to transfer 20% of its current year's profit before tax to reserve until such reserve equals to its paid up capital.

2.10.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

2.11 Contingent liabilities and contingent assets

A contingent liability is –

Any possible obligation that arises from the past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or any present obligation that arises from past events but is not recognised because:

- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits is reliably estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.12 Materiality, aggregation and off setting

Each material item as considered by management significant has been displayed separately in the financial statements. No amount has been set off unless the Company has legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

The values of any asset or liability as shown in the statement of financial position (balance sheet) are not off-set by way of deduction from another liability or asset unless there exist a legal right therefore. No such incident existed during the year.

2.13 Revenue recognition

2.13.01 Income from lease finance

The lease transactions are accounted for under finance lease in line with IAS -17 as adopted by the Institute of Chartered Accountants of Bangladesh. The aggregate lease receivables including un-guaranteed residual value throughout the lease term are recorded as gross receivables while excess of gross receivables over the total acquisition cost including interest during the period of acquiring the lease equipment constitutes the unearned lease income

2.13.02 Income from direct finance

Direct finance operation consists of long term, short term and working capital finance, books of account for which are maintained based on the accrual method of accounting. Interest earnings from direct finance are recognized as operational revenue periodically.

2.13.03 Dividend income

Revenue is recognised when the company right to receive the payment is established, which is generally when the shareholders approve the dividend.

2.13.04 Other operational income

Other operational income is recognized as and when received. Such income comprises of the following:

a. Appraisal and documentation fees
b. Commitment fees,
c. Supervision fees,
d Delinquent charge,
e. Due diligence fees, and
f. Miscellaneous receipts.

2.14 Earnings per share

Earnings per shares is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the year. BIFFL calculates EPS in accordance with Bangladesh accounting standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 37.

Diluted Earnings per share is not required to be calculated for the year as there is no scope for dilution during the year.

2.15 Presentation of operating segments

There are no reportable operating segments of BIFFL as on reporting date according to the definition of operating segments of IAS 14 and IFRS 8.

2.16 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclosed the existence of contingent liabilities and assets in the financial statements. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.17 Liquidity statements

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and Advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.18 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 45 as per Bangladesh Accounting Standards BAS-10: 'Events after the reporting period'.

2.19 Compliance report on Bangladesh accounting standards (bas) and Bangladesh financial reporting standards (BFRS)

The following Accounting and Reporting Standards are applicable for Bangladesh Infrastructure Finance Fund Limited and which are followed in preparing the Financial Statements of the Company:

Sl. No.	Name of the BAS	BAS No.	Status
01	Presentation of Financial Statements	01	Applied *
02	Inventories	02	Not Applicable
03	Cash Flow Statements	07	Applied
04	Accounting Policies, Changes in Accounting estimates and Errors	08	Applied
05	Events after the Balance Sheet Date	10	Applied
06	Construction Contract	11	Not Applicable
07	Income Taxes	12	Applied
08	Segment Reporting	14	Not Applicable
09	Property, Plant and Equipment	16	Applied
10	Leases	17	Applied
11	Revenue	18	Applied
12	Employee Benefits	19	Applied
13	Accounting for Government Grants and Disclosure of Government Assistance	20	Not Applicable
14	The Effects of Changes in Foreign Exchange Rates	21	Applied
15	Borrowing Costs	23	Not Applicable
16	Related Party Disclosures	24	Applied
17	Accounting and Reporting by Retirement Benefit Plans	26	Applied
18	Consolidated and Separate Financial Statements	27	Not Applicable
19	Investments in Associates	28	Not Applicable
20	Interest in Joint Ventures	31	Not Applicable
21	Financial Instruments: Presentation	32	Applied
22	Earnings per Share	33	Applied
23	Interim Financial Reporting	34	Applied
24	Impairment of Assets	36	Not Applied
25	Provision, Contingent Liabilities and Contingent Assets	37	Applied
26	Intangible Assets	38	Applied
27	Financial Instruments: Recognition and Measurement	39	Applied
28	Investment Property	40	Not Applicable
29	Agriculture	41	Not Applicable

* As the regulatory requirements differ with the standards, relevant disclosures are made in accordance with Bangladesh Bank's requirements.

Sl. No.	Name of the BAS	BAS No.	Status
01	First Time adoption of IFRS	1	Not Applicable
02	Share Based Payment	2	Not Applicable
03	Business Combinations	3	Not Applicable
04	Insurance Contracts	4	Not Applicable
05	Non-current Assets held for sales and discontinued operations	5	Applied
06	Exploration for and Evaluation of Mineral Resources	6	Not Applicable
07	Financial Instruments: Disclosures	7	Applied
08	Operating Segments	8	Not Applicable
09	Financial Instruments	9	Applied
10	Consolidated financial statements	10	Not Applicable
11	Joint Arrangements	11	Not Applicable
12	Discloser of interest in other entities	12	Not Applicable
13	Fair value measurement	13	Applied

2.20 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank form December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a Particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFLs' total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator approach (a fixed percentage of gross income amount), Standardized approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement approach (Statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.21 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- Providing forward-looking assessment of risk;
- Overcoming limitations of models and historical data;
- Supporting external and internal communication;
- Feeding into capital and liquidity planning procedures;
- Informing the setting of an FI's risk tolerance; and
- Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guideline have been issued by Bangladesh bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

	Amount in Taka	
	2015	**2014**
3.00 Cash		
Cash in hand (3.1)	13,458	17,854
Balance with Bangladesh Bank and its agents Bank(s)	53,000,000	47,000,000
	53,013,458	**47,017,854**
3.01 Cash in hand		
In local currency	13,458	17,854
In foreign currency	-	-
	13,458	**17,854**
3.02 Balance with Bangladesh Bank and its agents Bank(s)		
In local currency	-	-
Balance with Baangladesh Bank	53,000,000	47,000,000
In foreign currency	-	-
	53,000,000	**47,000,000**

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID Circular No.06 dated 6th November, 2003 and FID Circular No.02 dated 10th November, 2004.

3.4 Cash Reserve Requirement (CRR)

CRR has been calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6th November, 2003 and FID Circular No.02 dated 10th November, 2004. Total Term Deposits means Term or Fixed Deposits, Security Deposit against Lease/Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions).

	2015	2014
Required reserve	-	-
Actual reserve held	53,000,000	47,000,000
Surplus /(Deficit)	**53,000,000**	**47,000,000**

	Amount in Taka	
	2015	2014

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 5% of total liabilities, including CRR of 2.5% on Total Term Deposits. SLR is maintained in liquid assets in the form of Cash in Hand, balance with Bangladesh Bank, balance with other Banks & Financial Institutions, Investment at Call, unencumbered Treasury Bills, Prize Bond, Savings Certificates & any other assets approved by Bangladesh Bank.

	2015	2014
Required reserve	-	
Actual reserve held	17,489,435,462	19,907,947,565
Surplus / (Deficit)	**17,489,435,462**	**19,907,947,565**

4 Balance with banks and other financial institutions

	2015	2014
Inside Bangladesh		
Current accounts (Note -4.1)	8,655,752	43,185,274
Short term deposit accounts (Note -4.2)	148,255,230	12,789
Fixed deposit accounts (Note -4.3)	17,436,435,462	19,860,947,565
	17,593,346,444	**19,904,145,628**
Outside Bangladesh	-	-
	17,593,346,444	**19,904,145,628**

The company does not maintain any account outside of Bangladesh

4.1 Current account

	2015	2014
One Bank Ltd.	7,905,870	43,185,274
Dutch Bangla Bank Ltd.	749,882	-
	8,655,752	**43,185,274**

4.2 Short term deposit account

	2015	2014
One Bank Ltd.	143,867,168	3,406
NRB Bank Ltd.	4,366,279	-
United Commercial Bank Ltd.	12,000	-
Sonali Bank Ltd.	9,783	9,383
	148,255,230	**12,789**

4.3 Fixed deposit accounts

	2015	2014
AB Bank Ltd.	497,754,468	412,567,500

	Amount in Taka	
	2015	**2014**
First Security Islami Bank Ltd.	552,148,675	200,000,000
NRB Commercial Bank Ltd.	20,000	307,087,500
NRB Bank Ltd.	211,205,432	100,000,000
One Bank Ltd.	20,000,000	160,000,000
Midland Bank Ltd.	224,215,833	150,000,000
Union Bank Ltd.	368,802,407	100,000,000
Prime bank Ltd.	-	160,000,000
Janata Bank Ltd.	3,567,559,474	6,921,706,974
SBAC Bank Ltd.	90,000,000	-
IDLC Finance Corporation	50,000,000	-
Premier Bank Ltd.	1,351,550,263	-
Modhumoti Bank Ltd.	201,897,500	-
Shahjalal Islami Bank Ltd.	20,000,000	-
City Bank Ltd.	52,025,000	-
Delta Brac Housing Corp.	90,000,000	-
Meghna Bank Ltd.	155,130,896	-
EXIM Bank Ltd.	472,700,000	-
Lanka Bangla Finance Ltd.	100,000,000	-
Trust Bank Ltd.	53,846,180	-
NRB Global bank Ltd.	173,176,250	-
Farmers Bank Ltd.	815,818,750	-
Al Arafah bank Ltd.	112,230,808	-
National Bank Ltd.	20,000,000	1,239,226,861
Jamuna Bank Ltd.	931,296,197	1,235,507,522
Rupali Bank Ltd.	4,582,116,498	5,353,525,016
Sonali Bank Ltd.	-	2,921,326,192
United Commercial Bank Ltd.	205,769,095	600,000,000
Bank Asia	30,000,000	-
IFIC Bank Ltd.	2,487,171,736	-
	17,436,435,462	**19,860,947,565**

		Amount in Taka	
		2015	**2014**
4.4	**Maturity grouping of balance with banks and other financial institutions**		
	On demand	8,655,752	43,198,063
	Up to 1 month	148,255,230	-
	Over 1 month but not more than 3 months	12,554,233,533	6,752,722,172
	Over 3 months but not more than 1 year	4,882,201,929	13,108,225,393
	Over 1 year but notmore than 5 years	-	-
	Over 5 years	-	-
		17,593,346,444	**19,904,145,628**
5	**Money at call and short notice:**	-	-
6	**Investments**		
	Investment classified as per nature: Government (Note-6.1)	-	-
	Others (Note-6.2)	-	-
		-	-
6.1	**Government Securities:**		
	Treasury bills	-	-
	National investment bonds	-	-
	Bangladesh Bank bills	-	-
	Government notes / bonds	-	-
	Others	-	-
		-	-
6.2	**Other investments:**		
	Investment in shares	-	-
	Debenture and bonds	-	-
	Other investment	-	-
		-	-

	Amount in Taka	
	2015	2014
6.3 Maturity grouping of investments:		
On demand	-	-
Up to 1 month	-	-
Over 1 month but not more than 3 months	-	-
Over 3 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	-	-

Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any Investments.

	2015	2014
7 Leases, Loans and advances		
a) Inside Bangladesh		
Leases (Note -7.1)		-
Loans	4,358,268,450	1,033,064,192
Cash credits	-	-
Overdrafts	-	-
Sub-total	4,358,268,450	1,033,064,192
b) outside Bangladesh		-
Total	**4,358,268,450**	**1,033,064,192**
7.1 Leases	-	-
7.2 Sector wise leases, loans and advances		
Public sector	-	-
Co-operative sector	-	-
Private sector	4,358,268,450	1,033,064,192
	4,358,268,450	**1,033,064,192**

	Amount in Taka	
	2015	**2014**
7.3 Residual maturity grouping of leases, loans and advances		
On demand		
Up to 1 month		
Over 1 month but not more than 3 months	566,574,899	25,826,604
Over 3 months but not more than 1 year	1,394,645,904	77,479,812
Over 1 year but not more than 5 years	1,525,393,958	490,705,476
Over 5 years	871,653,690	439,052,300
	4,358,268,450	**1,033,064,192**
7.4 Leases, loans and advances on the basis of significant concentration		
a. Leases, loans and advances to Directors and organizationsrelated to Directors (fully secured)	-	-
b. Leases, loans and advances to Chief Executive Officer and other senior executives	141,626	191,630
c. Leases, loans and advances to customers groups:	-	-
d. Leases, loans and advances on sector basis:	-	
i) Textiles	-	-
ii) Garments and Accessories	-	-
iii) Transport (including Marin Transport)	120,000,000	-
iv) Chemicals and pharmaceuticals	-	-
v) Iron, Steel and Engineering	-	-
vi) Agricultural Equipments and Agro Industries	-	-
vii) Power and Energy	1,281,890,477	1,032,872,562
viii) Electronics and Electrical	-	-
ix) Information technology (IT)	-	-
x) Paper printing and Packaging	-	-
xi) Plastic	-	-
xii) Real Estate and Housing	-	-
xiii) Food and Beverage	-	-
xiv) Glass and Ceramics	-	-
xv) Services	-	-
xvi) Others	2,956,236,347	-
Sub-total	**4,358,268,450**	**1,033,064,192**

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	Amount in Taka 2015	Amount in Taka 2014
7.5 Leases, loans and advances on geographical basis:		
Inside Bangladesh:		
Urban :		
Dhaka Division	4,358,268,450	1,033,064,192
Chittagong Division	-	-
Khulna Division	-	-
Rajshahi Division	-	-
Barisal Division	-	-
Sylhet Division	-	-
Sub-total	**4,358,268,450**	**1,033,064,192**
Rural :		
Dhaka Division	-	-
Chittagong Division	-	-
Khulna Division	-	-
Rajshahi Division	-	-
Barisal Division	-	-
Sylhet Division	-	-
Sub-total	-	-
Outside Bangladesh:	-	-
Total	**4,358,268,450**	**1,033,064,192**
7.6 Classification of Leases, loans and advances :		
Unclassified :		
Standard	4,358,268,450	1,033,064,192
Special mention account	-	-
Sub-total	**4,358,268,450**	**1,033,064,192**
Classified :		
Sub-standard	-	-
Doubtful	-	-
Bad/Loss	-	-
Sub-total	-	-

		Amount in Taka	
		2015	**2014**
8	**Bills purchased and discounted**		
	Payable in Bangladesh	-	-
	Payable outside Bangladesh	-	-
		-	-

As at 31 December 2015, Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any transactions relating relating to bills purchase and or discount.

		2015	2014
9	**Fixed assets including premises, furniture and fixtures:**		
	Cost:		
	Opening Balance	13,572,627	11,852,404
	Addition during the year	3,187,562	1,720,223
		16,760,189	13,572,627
	Adjustment during the year	-	-
	Closing Balance (A)	16,760,189	13,572,627
	Less: Accumulated Depreciation :		
	Opening Balance	7,268,207	4,762,816
	Charged during the year:	1,639,925	2,505,391
		8,908,132	7,268,207
	Adjustment during the year	-	-
	Closing Balance (B)	8,908,132	7,268,207
	Written Down Value (A -B) (Annexure -A)	7,852,057	6,304,420
10	**Other assets**		
	Advance income tax (Note-10.01)	2,606,744,317	1,137,841,620
	Interest receivable on FDR	245,148,928	418,161,496
	Security deposit	11,475	11,475
	Advance to suppliers	473,672	623,172
	Advance	130,000,000	-
	Receivable Progoti Industries Ltd	-	2,096
	Advance to Srehatta Economic Zone	750,000	-

	Amount in Taka	
	2015	2014
Office rent receivable	296,350	-
Deferred tax assets (Note10.2)	369,910	362,954
	2,983,794,652	**1,557,002,813**

10.1 Advance income tax

Opening balance	1,137,841,620	540,998,413
Income tax deducted at sources	184,613,245	227,141,876
Paid during the year	1,284,289,452	910,699,747
Less: Adjustment of AIT on FDR	-	(540,998,416)
	2,606,744,317	**1,137,841,620**

10.2 Deferred tax assets

Opening balance	362,954	-
Deferred tax incomeduring the year	6,956	362,954
	369,910	**362,954**
Tax deductable temporary difference		
Gratuity payable	870,376	854,009
Appliacble tax rate	42.50%	42.50%
Closing deferred tax assets	**369,910**	**362,954**

11 Non-business assets	-	-

12 Borrowings from banks, other financial institutions and agents

Advance from BB Refinance Scheem	6,000,000	-
SOD Loan Payable - United Commercial Bank Ltd.	150,145,833	-
SOD Loan Payable - IFIC Bank Ltd.	591,971,116	-
	591,971,116	
	748,116,949	-

13 Deposits and other accounts	-	-

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		Amount in Taka	
		2015	**2014**
14 Other Liabilities			
Provision for Income Tax	14.1	2,862,872,525	2,097,286,641
Accounts Payable	14.2	2,946,525	3,869,025
Advaance Commercial Space Rent		592,697	50,000
Provision for Loan, Lease & Advance		43,581,268	10,330,778
Deferred tax liabilities	14.3	674,207	828,865
Employee benefit liabilities	14.4	870,376	854,009
Audit fees payable		69,000	57,500
		2,911,606,598	**2,113,276,818**
14.1 Provision for income tax			
Opening balance		2,097,286,641	2,230,384,969
Add: Addition during this year		765,585,884	1,154,168,148
Less : Adjustment this year		-	1,287,266,476
		2,862,872,525	**2,097,286,641**
14.2 Accounts Payable:			
Salary payable		1,332,776	2,794,433
Withholding tax		106,308	97,998
Withholding VAT		1,507,441	976,594
		2,946,525	**3,869,025**
14.3 Deferred tax liabilities			
Opening balance		828,865	-
Defferred tax income during the year		154,658	828,865
		674,207	**828,865**
Accounting base written downvalue of PPE		7,852,057	6,304,420
Tax base written down value of PPE		6,265,687	4,354,150

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	Amount in Taka	
	2015	**2014**
Taxable temporary difference	1,586,370	1,950,270
Applicable tax rate	42.50%	42.50%
Closing deffered tax liabilities	674,207	828,865

14.4 **Employee benefit liabilities**

Gratuity payable	870,376	854,009
	870,376	**854,009**

15 **Share Capital:**

15.1 **Authorized capital**

1,000,000,000 Ordinary shares of Tk. 100 each	**100,000,000,000**	**100,000,000,000**

15.2 **Issued, Subscribed & Paid up Capital :**

194,000,000 Shares @Tk 100 each	**19,400,000,000**	**16,000,000,000**

15.3 **Capital adequacy and market discipline**

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier -1 (Core Capital)		
Fully paid-up capital/ capital lien with BB	19,400,000,000	16,000,000,000
Statutory reserve	1,087,310,303	886,851,618
Non-repayable share premium account	-	-
General reserve	-	-
Retained earnings	849,241,211	3,547,406,471
Minority interest in subsidiaries	-	-
Non- cumulative irredeemable preference shares	-	-
Dividend equalization account	-	-
Other (If any Item approved by Bangladesh Bank)		
Sub-Total	**21,336,551,514**	**20,434,258,089**

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	Amount in Taka	
	2015	**2014**
Deductions from tier-1(Core capital)		
Book value of goodwill and any value of any contingent assets which are shown as assets	-	-
Shortfall in provisions required against classified assets	-	-
Shortfall in provisions required against investment in share	-	-
Remaining deficit on account of revaluation of investments	-	-
in securities after netting off any other surplus on the securities	-	-
Any investment exceeding the approved limit	-	-
Investments in subsidiaries which are not consolidated	-	-
Other (if any)	-	-
Sub-Total	-	-
Total eligible Tier-1 capital	**21,336,551,514**	**20,434,258,089**
2. Tier-2 (Supplementary capital)		
General provision (Unclassified up to special limit+SMA+ off balance sheet exposure)	**43,581,268**	**10,330,778**
Assets revaluation reserves upto 50%	-	-
Revaluation reserve for securities upto 50%	-	-
All other preference shares	-	-
Other (if any item approved by Bangladesh Bank)	-	-
Sub-Total	43,581,268	10,330,778
Deductions, if any	-	-
Total eligible Tier-2 capital	**43,581,268**	**10,330,778**
Total capital	**21,380,132,782**	**20,444,588,867**
Total risk weighted asset	**19,007,500,000**	**15,808,800,000**
Required capital	**1,900,750,000**	**1,167,569,454**
Surplus / (Deficit)	**19,479,382,782**	**19,277,019,413**
Capital adequacy ratio (CAR)	112.48%	129.32%
On core capital (Tier-1)	112.25%	129.26%

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	Amount in Taka	
	2015	2014
On supplementary capital (Tier-2)	0.23%	0.07%

16 Share premium

	2015	2014
Share premium	-	-

17 Statutory reserve

	2015	2014
Opening balance	886,851,618	603,515,933
Add: Transferred during the year	200,458,685	283,335,685
Closing balance	**1,087,310,303**	**886,851,618**

According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve.

18 Other Reserve:

	2015	2014
Other Reserve	-	-

The company doesn't maintain any other reserve.

19 Retained earnings

	2015	2014
Opening balance	3,547,406,471	2,414,063,732
Add: Prior year adjustment	-	441,331,924
Restated opening balance	**3,547,406,471**	**2,855,395,656**
Add: Net profit for this year	1,002,293,425	975,346,500
	4,549,699,896	3,830,742,156
Less: Transfer to statutory reserve	200,458,685	283,335,685
Less: Stock Dividend transferred to Paid up Capital	3,400,000,000	-
Less: Cash Dividend transferred to Paid up Capital	100,000,000	-
Closing balance	**849,241,211**	**3,547,406,471**

		Amount in Taka	
		2015	2014
20	**Income Statement**		
20.1	**Income**		
	Interest, discount and similar income	-	-
	Interest income on leases, loans and advances (Note-21)	188,049,291	63,961,291
	Investment income (Note-23)	-	-
	Other operating income (Note-24)	1,677,323,789	2,252,624,277
		1,865,373,080	**2,316,585,568**
20.2	**Expenses**		
	Salary and allowances (Note-25)	13,944,949	11,863,677
	Rent, taxes, insurance, electricity, etc. (Note-26)	4,224,990	429,955
	Legal expenses (Note-27)	1,112,807	298,139
	Postage, stamp, telecommunication etc. (Note-28)	274,763	447,449
	Stationery, printing, advertisement etc. (Note-29)	3,416,927	3,551,069
	Managing Director's salary and allowances (Note-30)	5,593,211	6,082,052
	Directors' fee (Note-31)	619,957	211,000
	Auditors' fee (Note-32)	69,000	57,500
	Depreciation and repairs of company's assets (Note-33)	5,494,391	-
	Other administrative expenses (Note-34)	6,744,149	-
		41,495,144	**22,940,841**
21	**Interest income on leases, loans and advances:**		
	Interest income from Term Loan (Note-21.1)	188,049,291	63,309,187
	Delinquecy Fee	-	652,104
		188,049,291	**63,961,291**
21.1	**Interest income from Term Loan**		
	Sinha Peoples Energy Ltd.	152,679,436	63,309,187
	ARB Bricks	457,933	-
	First Dhaka Elevated Expressway	678,333	-
	Regent Energy & power Ltd.	4,216,667	-
	Srehatta Economic Zone	30,016,922	-
		188,049,291	**63,309,187**

		Amount in Taka	
		2015	**2014**
22	**Interest expenses on deposits, borrowings, etc.:**		
	Interest expense on SOD loan-Rupali Bank Ltd.	20,792,803	357,452
	Interest expense on SOD loan-United Commercial Bank Ltd.	145,833	1,125,000
	Interest expense on SOD loan-IFIC Bank Ltd.	1,971,115	-
		22,909,751	**1,482,452**
23	**Investment income:**	-	-
24	**Other operating income:**		
	Interest revenue (FDR)*	1,413,681,961	1,827,248,362
	Accrued interest revenue (FDR)	245,148,928	418,161,497
	Interest on SND	10,805,901	2,838,448
	Revenue from fees (Note-24.1)	7,390,650	4,375,970
	Income from offfice rent	296,349	-
		1,677,323,789	**2,252,624,277**

* Comparative figure of interest revenue (FDR) in 2014 have been restated by the amount BDT. 441,331,924 of accrued interest on FDR of 2013 receipt in 2014.

24.1	**Revenue from fees**		
	Due diligence fee	7,235,150	3,825,000
	Loan application fee	140,000	527,000
	Fees from recruitment application	15,500	23,970
		7,390,650	**4,375,970**
25	**Salary and allowances:**		
	Salary and allowances	12,885,173	9,148,885
	Bonus	1,043,409	2,371,200
	Gratuity provision	16,367	343,592
		13,944,949	**11,863,677**
26.	**Rent, taxes, insurance, electricity, etc.**		
	Rent, rate and taxes	3,514,044	-
	Electricity and wasa bill	710,946	429,955
		4,224,990	**429,955**

		Amount in Taka	
		2015	**2014**
27.	**Legal expenses:**		
	Legal expense	149,085	298,139
	Renewal & Registration	963,722	-
		1,112,807	**298,139**
28.	**Postage, stamp, telecommunication etc.:**		
	Postage and courier	4,406	2,788
	Telephone, fax, internet and mobile	270,357	441,311
	Stamp and court fee	-	3,350
		274,763	**447,449**
29	**Stationery, printing, advertisement, etc.:**		
	Printing and stationery	1,546,902	419,313
	Advertisement and publicity	1,011,638	1,789,866
	Books & Periodicals	46,465	6,000
	Business development cost	811,922	1,335,890
		3,416,927	**3,551,069**
30	**Chief executive's salary and allowances :**		
	Remuneration	4,631,072	4,900,000
	Festival Bonus	720,000	350,000
	Medical allowances	189,000	276,564
	Gratuity	-	510,417
	Telephone & Internet Allowance	53,139	45,071
		5,593,211	**6,082,052**
31	**Directors' fees :**		
	Directors honorarium	619,957	211,000
	Other benefits	-	-
		619,957	**211,000**

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	Amount in Taka	
	2015	2014
32 Audit fee:		
Audit fee	69,000	57,500
	69,000	**57,500**
33 Depreciation and repairs of company's assets:		
Repair & maintenance	3,854,466	2,885,303
Depreciation on company's fixed assets (Annexure-B)	1,639,925	2,505,391
	5,494,391	**5,390,694**
34 Other administrative expenses:		
Office maintenance	780,417	363,507
Travelling and conveyances	191,291	26,653
Training Expenditure	313,535	382,237
Renewal & Registration	-	362,528
Bank Charge & Commission	12,843	4,375
Repair & Maintenance	-	-
Entertainment expenses	958,714	455,644
Honorarium - Recruitment Committee	-	64,000
Honorarium - Executive Committee	-	10,000
Miscellaneous expenses	-	570
Promotional Expenditure	2,033,096	-
Consulatancy fee - IIFC	280,096	1,617,538
Excise Duty	-	300,000
AGM Expenditure	455,457	-
Donation	130,000	500,000
Office Meeting Expenses	570,873	-
Project Site Supervision Expense	153,248	35,099
Tax Consultant Fee	230,000	253,000
Board Meeting Expense	634,579	-
	6,744,149	**4,375,151**

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	Amount in Taka	
	2015	2014
35 Provision for leases, loans and advances:		
Provision for classified leases, loans and advances	-	-
Provision for unclassified leases, loans and advances	33,250,490	10,330,778
	33,250,490	**10,330,778**
36 Provision for income tax:		
Current tax (Note-36.1)	765,585,884	1,296,253,241
Deferred tax	(161,613)	465,911
	765,424,270	**1,296,719,152**
36.1 Current tax expense:		
Income tax expense during the year	765,585,884	1,154,168,152
Previous year shortage of tax provision	-	142,085,089
	765,585,884	**1,296,253,241**

37 Earning per share :

Earning per share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33. Earning per share has been calculated as follows:

	2015	2014
Net profit after tax	1,002,363,040	975,346,500
Number of ordinary shares outstanding	194,000,000	194,000,000
Earning per share (restated)	**5.17**	**5.03**

38 Related party disclosures :

The company doesn't have any transaction with related party.

39 Unacknowledged debt :

The Company had no claim against it which has not been acknowledged as debt at the balance sheet date.

40 Receivable from directors :

No amount is due from any of the directors of the Company.

41 Disclosure regarding branch :

As at December 2015, the company has no branch in or outside of Bangladesh.

42 Disclosure of Executive Committee :

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met saveral times during the year 2015.

43 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

44 Authorisation for issue

These functional statements were approved and authorised for issue on 26 June 2016 by the Board of Directors in the 39th Board Meeting.

45 Events after reporting period

The Board of Directors in its 39th meeting dated 26 June 2016 recommend for 120,000,000 cash and 700,000,000 stock dividend for the year 2015 subject to approval in upcoming AGM.

Except the fact stated above, there is no material events after the reporting date that are not adjustting events came to management attention which may be needful for the stakeholders.

46 Restatement

The 2014 comparative figures have been restated to correct certain crrors in the presentation of the Statement of Comprehensive Invoice (Profit & Loss Account). The details is give below :

Overstatement of interest revenue :

Interest revenue was indvertently overstated by BDT 441, 331, 924 due to accrued interest income for the year 2013 was shown as income for the year 2014. The error has been rectified now and previous year's related figures have been restated.

Effect in the Statement of Comprehensive Income (Profit & Loss Account)

Othe operating income for the year 2014

Interest revenue (FDR)	2,268,580,286
Accrued Interest Revenue (FDR)	418,161,497
Interest on SND	2,838,448
Revenue from Fees	4,375,970
Total	**2,693,956,201**
Less: Restatement	441.331.924
Restated other operating income for the year 2014	**2,252,624,277**

Effect in the financial position:

As the income has already reflected in retained earnings so no effect in the Statement of Financial Position (Balance Sheet).

Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets
As at 31 December 2015

Particulars	COST								Written down value as at 31.12.15
	Balance as at 01.01.15	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.15	Balance as at 01.01.15	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.15	
BIFFL Website	172,500	-	-	172,500	172,500	-	-	172,500	-
Scanner & Printer	163,800	72,400	-	236,200	76,555	24,215	-	100,770	135,430
Desktop PC	879,991	760,700	-	1,640,691	429,219	363,452	-	792,671	848,020
Vehicle	10,639,211	-	-	10,639,211	6,265,394	874,763	-	7,140,157	3,499,054
Acoountine Software	112,860	-	-	112,860	112,860	-	-	112,860	-
Buildtne & Chil Construction	383,775	1,152,837	-	1,536,612	26,665	150,994	-	177,659	1,358,953
LT Pannel & PFI Plant	190,000	25,000	-	215,000	38,000	17,700	-	55,700	159,300
Multimedia Projector	101,860	-	-	101,860	38,093	6,376	-	44,469	57,391
Furniture	598,795	564,916	-	1,163,711	75,332	108,823	-	184,155	979,556
Electric Meter	9,400	-	-	9,400	1,880	940	-	28,20	6,580
Projector Screen	20,000	-	-	20,000	6,900	3,930	-	10,830	9,170
Wasa Meter	5,980	-	-	5,930	1,196	478	-	1,674	4,306
Office Equipment	294,455	611,709	-	906,164	23,612	88,254	-	111,866	794,298
Total 2015	**13,572,627**	**3,187,562**	-	**16,760,189**	**7,268,207**	**1,639,925**	-	**8,908,132**	**7,852,057**

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Photograph of the 4th Annual General Meeting of BIFFL
held on 12th September 2015 at the Westin Dhaka, Gulshan-2, Dhaka-1212

Ghazal Sandhya on occasion of the 4th AGM

Ghazal Sandhya on occasion of the 4th AGM

Gathering on the occasion of the 4th AGM

BIFFL Employees with the Chairman

PHOTO ARCHIVE

Management Committee

Investment

Accounts & Finance

Legal & Compliance

IT, HR & Administration

Photo Archive

Padma Bridge Site Visit-1

Padma Bridge Site Visit-2

Participation in Green-Expo, 2016

CEO of BIFFL with the President of FBCCI

Project Site Visit, Dhaka Elevated Expressway

Celebrating Birthday of BIFFL Employee

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Technical

MTO & Officer-2016

BIFFL Team at the 4th AGM

BIFFL Team at the Ifter-2016

One Team, Big Dream, BIFFL

Site Visit, Sea Pearl Beach Resort & Spa Ltd.

VOTE OF THANKS

Dear Sirs,

BIFFL's Management is pleased to organize the 5th Annual General Meeting (AGM), as well as to prepare the Annual Report-2015 containing the Directors Report, Audited Financial Statements, along with the Independent Auditor's Report. The Report was endorsed on 3 August 2016 in the 41st meeting of BIFFL's Board and satisfies the requirement of the section 184 of the Companies Act, 1994 and also the Financial Institutions Act, 1993.

On behalf of the Management, I would like to thank the Honorable Chairman and Members of the Board of Directors, and the Executive Director & CEO for their immense support, guidance and bold initiative to achieve the organizational goal.

I would like to thank all the employees & staffs of BIFFL particularly in the department of HR & Administration, Finance & Accounts and Credit & Investment for their great effort and sincere works to accomplish the Annual Report and also to organize the AGM.

I would like to convey our gratitude to the Finance Division of Ministry of Finance, Regulatory Bodies, Auditors, Clients, Bankers and all the stakeholders of BIFFL.

At the same time, I would like to apologize for any inadvertent error and inconvenience in the Annual Report and Annual General Meeting of BIFFL.

Yours Sincerely,

Mohammad M. Khan, ACS
Company Secretary